CHAPTER 1
Preliminary Considerations

> *"Nature - that is, biological evolution - has not fitted man to any specific environment... Among the multitude of animals which scamper, fly, burrow, and swim around us, man is the only one who is not locked into his environment. His imagination, his reason, his emotional subtlety and toughness, make it possible for him not to accept the environment but to change it. And that series of inventions is a different kind of evolution - not biological, but cultural evolution. I call that brilliant sequence of cultural peaks."*
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> — ***Jacob Bronowski***
> *The Ascent of Man*

Philosophy and The Law

There is a natural partnership between philosophy and the law. Philosophy's inquisitive nature intertwined with the law's penchant for order, makes for a veritable combination. — rigidity tempered by dynamism.

Throughout the years, there has been an insatiable attempt to discover the true nature of law using tools borrowed from a very inquisitive discipline, known to most as philosophy. Though at first glance, philosophy may more often than not delve into the mysteries of knowledge and its acquisition and application. It has, at so many point of our history, taken a gander at the nature of law, its concept, its application and more importantly — its compulsory power to make people obey.

The developing relationship between law and philosophy is a conundrum at best. Philosophy with its free range of thought and law — with its rigid processes and systems. Yet the relationship has bore fruit in more ways than we can imagine. Philosophy allows us to expand our concept of law beyond its rigidity and established system. Philosophical inquiry has elevated law from a mere regulatory regime to a vehicle to further the ends of justice and equity, beyond the usual borders of statutes and regulations. Through law, philosophy has found an anchor within which to establish various premises towards a further understanding of human interaction which we call justice. Beyond the conceptions of right and wrong, the inquisitive force that is philosophy has prodded law to question existing norms and accepted rules. Thus, allowing us to develop further and better concepts that regulate, observe, judge the human condition.

Nature of Philosophy

Philosophy by its very nature is inquisitive. It constantly seeks answers to questions yet, more often than not, the question is more important than the answer. Inquiry is the fuel that powers philosophy.

It is the currency in which we prod our humanity to question, to challenge the norm, to be more than ourselves. We need philosophy in order for us to look further than what we have been taught and made to believe.

Reason and Spirit of the Law

However, it should be borne in mind that the zeal and diligence of the courts in this respect should be exercised and displayed in accordance with the legal standards, recognizing everybody's right to make use of all means afforded him by the laws, because it is secured by the constitutional guarantee of *"due process"* and because the end does not justify the means and

the goodness and excellence of purpose in themselves alone do not always justify the employment by the courts of ways and means which must first have the sanction of the legislative branch of the government. To leave the determination of controversies entirely to the presumed uprightness and wisdom of a court or judge, ignoring the legal provisions, is equivalent to allowing the stability of governments and their institutions to depend upon aleatory events. Let it not be said that in this case the letter of the law is one thing and the spirit another thing. When, as in this case, the letter of the law is clear, to seek its spirit elsewhere is simply to venture vainly, to no practical purpose, upon the boundless domains of speculations.[1]

Statutes; We test a law by its results. A law should not be interpreted so as to cause an injustice. — But as has also been aptly observed, we test a law by its results; and likewise, we may add, by its purposes. It is a cardinal rule that, in seeking the meaning of the law, the first concern of the judge should be to discover in its provisions the intent of the lawmaker. Unquestionably, the law should never be interpreted in such a way as to cause injustice as this is never within the legislative intent. An indispensable part of that intent, in fact, for we presume the good motives of the legislature, is to render justice.

Alonzo vs. Intermediate Appellate Court[2]

Five brothers and sisters inherited in equal *pro indiviso* shares a parcel of land registered in 'the name of their deceased parents. One of them transferred his undivided share by way of absolute sale. A year later, his sister sold her share in a "Con Pacto de Retro Sale". By virtue of such agreements, the petitioners occupied, after the said sales, an area corresponding to two-fifths of the said lot, representing the portions sold to them. The vendees subsequently enclosed the same with a fence. with their consent, their son Eduardo Alonzo and his wife built a semi-concrete house on a part of the enclosed area.

One of the five coheirs sought to redeem the area sold to petitioners but was dismissed when it appeared

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[1] Pascual vs. Santos, 62 Phil. 148 [1935]

[2] 150 SCRA 259, May 28, 1987

that he was an American citizen. Another coheir filed her own complaint invoking the same right of redemption of her brother. Trial court dismissed the complaint, on the ground that the right had lapsed, not having been exercised within thirty days from notice of the sales. Although there was no written notice, it was held that *actual* knowledge of the sales by the co-heirs satisfied the requirement of the law. Respondent court reversed the decision of the Trial Court.

Did actual knowledge satisfy the requirement of Art. 1088 of the New Civil Code?

The High Court ruled in the affirmative — decision of respondent court was reversed and that of trial court reinstated. The co-heirs in this case were undeniably informed of the sales although no notice in writing was given them. And there is no doubt either that the 30-day period began and ended during the 14 years between the sales in question and the filing of the complaint for redemption in 1977, without the co-heirs exercising their right of redemption. These are the justifications for this exception.

While courts may not read into the law a purpose that is not there, courts nevertheless have the right to read out of it the reason for its enactment. In doing so, courts defer not to *"the letter that killeth" but to "the spirit that vivifieth,"* to give effect to the law maker's will.

As judges, we are not automatons. We do not and must not unfeelingly apply the law as it is worded, yielding like robots to the literal command without regard to its cause and consequence. *"Courts are apt to err by sticking too closely to the words of a law,"* so we are warned, by Justice Holmes again, *"where these words import a policy that goes beyond them."*[3] While we admittedly may not legislate, we nevertheless have the power to interpret the law in such a way as to reflect the will of the legislature. While we may not read *into* the law a purpose that is not there, we nevertheless have the right to read *out of it*

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[3] Alonzo vs. Intermediate Appellate Court, 150 SCRA 259, May 28, 1987; citing Dissenting in Olmstead v. U.S., 277 U.S. 438.

the reason for its enactment. In doing so, we defer not to *"the letter that killeth" but to "the spirit that vivifieth,"* to give effect to the lawmaker's will.[4]

"The spirit, rather than the letter of a statute determines its construction, hence, a statute must be read according to its spirit or intent. For what is within the spirit is within the statute although it is not within the letter thereof, and that which is within the letter but not within the spirit is not within the statute. Stated differently, a thing which is within the intent of the lawmaker is as much within the statute as if within the letter; and a thing which is within the letter of the statute is not within the statute unless within the intent of the law makers."[5]

League of Cities of the Philippines vs. Commission on Elections[6]

During the 11th Congress,[7] fifty-seven (57) cityhood bills were filed before the House of Representatives.[8] Of the fifty-seven (57), thirty-three (33) eventually became laws. The twenty-four (24) other bills were not acted upon.Later developments saw the introduction in the Senate of Senate Bill No. 2157[9] to amend Sec. 450 of Republic Act No. 7160, otherwise known as the Local Government Code (LGC) of 1991. The proposed amendment sought to increase the income requirement to qualify for conversion into a city from

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[4] Alonzo vs. Intermediate Appellate Court, 150 SCRA 259, May 28, 1987; citing

[5] Alonzo vs. Intermediate Appellate Court, 150 SCRA 259, May 28, 1987; citing Statutory Construction, Ruben E. Agpalo, pp. 64-65, 1986, citing Manila Race Horse Trainers' Assn. v. De la Fuente, 88 Phil. 60; Go Chi v. Go Cho, 96 Phil. 622; Hidalgo v. Hidalgo, 33 SCRA 105; Roa v. Collector of Customs, 23 Phil. 315; Villanueva v. City of Iloilo, 26 SCRA 578; People v. Purisima, 86 SCRA 542; US v. Go Chico, 14 Phil. 128.

[6] 608 SCRA 636, December 21, 2009

[7] July 1998 and June 2001

[8] Journal, Senate 13th Congress 59th Session 1238 (January 23, 2007).

[9] Entitled "An Act Amending Section 450 of Republic Act No. 7160, Otherwise Known as The Local Government Code of 1991, by Increasing the Average Annual Income Requirement for a Municipality or Cluster of Barangays to be Converted into a Component City."

Php 20 million average annual income to Php 100 million locally generated income.

In March 2001, S. Bill No. 2157 was signed into law as Republic Act No. 9009 to take effect on June 30, 2001. As thus amended by Republic Act No. 9009, Sec. 450 of the LGC of 1991 now provides that *"[a] municipality x x x may be converted into a component city if it has a [certified] locally generated average annual income x x x of at least [Php 100 million] for the last two (2) consecutive years based on 2000 constant prices."*

After the effectivity of RA 9009, the Lower House of the 12th Congress adopted in July 2001 House Joint Resolution No. 29[10] which, as its title indicated, sought to exempt from the income requirement prescribed in Republic Act No. 9009 the 24 municipalities whose conversions into cities were not acted upon during the previous Congress. The 12th Congress ended without the Senate approving H. Joint Resolution No. 29.

Then came the 13th Congress,[11] which saw the House of Representatives re-adopting H. Joint Resolution No. 29 as H. Joint Resolution No. 1 and forwarding it to the Senate for approval.

The Senate, however, again failed to approve the joint resolution. During the Senate session held on November 6, 2006, Senator Aquilino Pimentel, Jr. asserted that passing H. Resolution No. 1 would, in net effect, allow a wholesale exemption from the income requirement imposed under Republic Act No. 9009 on the municipalities. For this reason, he suggested the filing by the House of Representatives of individual bills to pave the way for the municipalities to become cities and then forwarding them to the Senate for proper action.[12]

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[10] Entitled "Joint Resolution to Exempt Certain Municipalities Embodied in Bills Filed in Congress Before June 30, 2001 from the Coverage of [RA] 9009." Annex "A," Memorandum of Petitioners.

[11] July 2004 to June 2007

[12] Journal, Senate 13th Congress, 59th Session, pp. 1238-40, cited in Justice Reyes' Dissent, p. 37.

Heeding the advice, sixteen (16) municipalities filed, through their respective sponsors, individual cityhood bills. Common to all 16 measures was a provision exempting the municipality covered from the Php 100 million income requirement.

As of June 7, 2007, both Houses of Congress had approved the individual cityhood bills, all of which eventually lapsed into law on various dates. Each cityhood law directs the COMELEC, within thirty (30) days from its approval, to hold a plebiscite to determine whether the voters approve of the conversion.

As earlier stated, the instant petitions seek to declare the cityhood laws unconstitutional for violation of Sec. 10, Art. X of the Constitution, as well as for violation of the equal-protection clause. The wholesale conversion of municipalities into cities, the petitioners bemoan, will reduce the share of existing cities in the Internal Revenue Allotment (IRA), since more cities will partake of the internal revenue set aside for all cities under Sec. 285 of the LGC of 1991.[13]

As to the issue — in the main, the issues to which all others must yield pivot on whether or not the cityhood laws violate (1) Sec. 10. Art. X of the Constitution and (2) the equal protection clause.

The High Court held that — legislative intent is part and parcel of the law, the controlling factor in interpreting a statute. In construing a statute, the proper course is to start out and follow the true intent of the Legislature and to adopt the sense that best harmonizes with the context and promotes in the fullest manner the policy and objects of the legislature. In fact, any interpretation that runs counter to the legislative intent is unacceptable and invalid. As emphasized at the outset,

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[13] Sec. 285 of the 1991 LGC provides: *Allocation to Local Government Units.*— The share of [LGUs] in the [IRA] shall be allocated in the following manner: (a) *Provinces—Twenty-three percent (23%); (b) Cities—Twenty-three percent* (23%); (c) Municipalities—Thirty-four percent (34%); and (d) Barangays—Twenty percent (20%) *Provided, however,* That the share of each province, city, and municipality shall be determined on the basis of the following formula: (a) Population—Fifty percent (50%); (b) Land Area—Twenty-five percent (25%); and (c) Equal sharing—Twenty-five percent (25%) x x x x

> behind every law lies the presumption of constitutionality. Consequently, to him who would assert the unconstitutionality of a statute belongs the burden of proving otherwise. Laws will only be declared invalid if a conflict with the Constitution is beyond reasonable doubt. Unfortunately for petitioners and petitioners-in-intervention, they failed to discharge their heavy burden.
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> To be sure, courts, regardless of doubts they might be entertaining, cannot question the wisdom of the congressional classification, if reasonable, or the motivation underpinning the classification. By the same token, they do not sit to determine the propriety or efficacy of the remedies Congress has specifically chosen to extend. That is its prerogative. The power of the Legislature to make distinctions and classifications among persons is, to reiterate, neither curtailed nor denied by the equal protection clause. A law can be violative of the constitutional limitation only when the classification is without reasonable basis.

In said law, the High Court declared that — *The constitutional protection extends to all persons, natural or artificial, within the territorial jurisdiction; Artificial persons as respondent Local Government Units (LGUs) herein are entitled to protection only insofar as their property is concerned.* — The equal protection guarantee is embraced in the broader and elastic concept of due process, every unfair discrimination being an offense against the requirements of justice and fair play. It has nonetheless come as a separate clause in Sec. 1, Art. III of the Constitution to provide for a more specific protection against any undue discrimination or antagonism from government. Arbitrariness in general may be assailed on the basis of the due process clause. But if a particular challenged act partakes of an unwarranted partiality or prejudice, the sharper weapon to cut it down is the equal protection clause. This constitutional protection extends to all persons, natural or artificial, within the territorial jurisdiction. Artificial persons, as the respondent LGUs herein, are, however,

entitled to protection only insofar as their property is concerned.[14]

Without belaboring in their smallest details the arguments for and against the procedural dimension of this disposition, it bears to stress that the Court has the power to suspend its own rules when the ends of justice would be served thereby. In the performance of their duties, courts should not be shackled by stringent rules which would result in manifest injustice. Rules of procedure are only tools crafted to facilitate the attainment of justice. Their strict and rigid application must be eschewed, if they result in technicalities that tend to frustrate rather than promote substantial justice. Substantial rights must not be prejudiced by a rigid and technical application of the rules in the altar of expediency. When a case is impressed with public interest, a relaxation of the application of the rules is in order. Time and again, this Court has suspended its own rules or excepted a particular case from their operation whenever the higher interests of justice so require.[15]

Thus, we interpret and apply the law not independently of but in consonance with justice. Law and justice are inseparable, and we must keep them so. To be sure, there are some laws that, while generally valid, may seem arbitrary when applied in a particular case because of its peculiar circumstances. In such a situation, we are not bound, because only of our nature and functions, to apply them just the same, is slavish obedience to their language. What we do instead is find a balance between the word and the will, that justice may be done even as the law is obeyed.[16]

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[14] League of Cities of the Philippines (LCP) vs. Commission on Elections, 608 SCRA 636, December 21, 2009

[15] League of Cities of the Philippines (LCP) vs. Commission on Elections, 608 SCRA 636, December 21, 2009

[16] Dumaguete Cathedral Credit Cooperative (DCCCO) vs. Commissioner of Internal Revenue, 610 SCRA 652, January 22, 2010; citing Alonzo vs. Intermediate Appellate Court, 150 SCRA 259, May 28, 1987

We need not belabor that what is within the spirit is within the law even if it is not within the letter of the law because the spirit prevails over the letter.[17]

Dumaguete Cathedral Credit Cooperative vs. Commissioner of Internal Revenue[18]

Petitioner Dumaguete Cathedral Credit Cooperative (DCCCO) is a credit cooperative duly registered with and regulated by the Cooperative Development Authority (CDA). It was established on February 17, 1968 with the following objectives and purposes: (1) to increase the income and purchasing power of the members; (2) to pool the resources of the members by encouraging savings and promoting thrift to mobilize capital formation for development activities; and (3) to extend loans to members for provident and productive purposes.

On November 27, 2001, the Bureau of Internal Revenue (BIR) Operations Group Deputy Commissioner, Lilian B. Hefti, issued Letters of Authority Nos. 63222 and 63223, authorizing BIR Officers Tomas Rambuyon and Tarcisio Cubillan of Revenue Region No. 12, Bacolod City, to examine petitioner's books of accounts and other accounting records for all internal revenue taxes for the taxable years 1999 and 2000.

On 2002, petitioner informed BIR that it would only pay the deficiency withholding taxes corresponding to the honorarium of the Board of Directors, security and janitorial services, legal and professional fees for the year 1999 and 2000, excluding penalties and interest. After payment, petitioner received from the BIR Transcripts of Assessment and Audit Results/Assessment Notices, ordering petitioner to pay the deficiency withholding taxes, inclusive of penalties, for the years 1999 and 2000.

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[17] Dumaguete Cathedral Credit Cooperative (DCCCO) vs. Commissioner of Internal Revenue, 610 SCRA 652, January 22, 2010; citing Tañada and Macapagal vs. Cuenco, et al., 103 Phil. 1051, 1086 (1957).

[18] 610 SCRA 652, January 22, 2010

Petitioner contended that under 24(B)(1) of the NIRC applies only to banks and not to cooperatives, since the phrase *"similar arrangements"* is preceded by terms referring to banking transactions that have deposit peculiarities. Therefore, the savings and time deposits of members of cooperatives are not included in the enumeration, and thus not subject to the 20% final tax. Also, pursuant to Article XII, Section 15 of the Constitution 25 and Article 2 of Republic Act No. 6938 (RA 6938) or the Cooperative Code of the Philippines, cooperatives enjoy a preferential tax treatment which exempts their members from the application of Section 24(B)(1) of the NIRC.

Is petitioner liable to pay the deficiency withholding taxes on interest from savings and time deposits of its members for taxable years 1999 and 2000, and the consequent delinquency interest of 20% per annum?

Per the High Court — petitioner is not liable to pay.

The National Internal Revenue Code states that a *"final tax at the rate of twenty percent (20%) is hereby imposed upon the amount of interest on currency bank deposit and yield or any other monetary benefit from the deposit substitutes and from trust funds and similar arrangement x x x"* for individuals under Section 24(B)(1) and for domestic corporations under Section 27(D)(1). Considering the members' deposits with the cooperatives are not currency bank deposits nor deposit substitutes, Section 24(B)(1) and Section 27(D)(1), therefore, do not apply to members of cooperatives and to deposits of primaries with federations, respectively.

Under Article 2 of Republic Act No. 6938, as amended by Republic Act No. 9520, it is a declared policy of the State to foster the creation and growth of cooperatives as a practical vehicle for promoting self-reliance and harnessing people power towards the attainment of economic development and social justice. Thus, to encourage the formation of cooperatives and to create an atmosphere conducive to their growth and development, the State extends all forms of assistance to

them, one of which is providing cooperatives a preferential tax treatment.

The legislative intent to give cooperatives a preferential tax treatment is apparent in Articles 61 and 62 of Republic Act No. 6938, which read:

> *ART. 61. Tax Treatment of Cooperatives. — Duly registered cooperatives under this Code which do not transact any business with non-members or the general public shall not be subject to any government taxes and fees imposed under the Internal Revenue Laws and other tax laws. Cooperatives not falling under this article shall be governed by the succeeding section.*
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> *ART. 62. Tax and Other Exemptions. — Cooperatives transacting business with both members and nonmembers shall not be subject to tax on their transactions to members. Notwithstanding the provision of any law or regulation to the contrary, such cooperatives dealing with nonmembers shall enjoy the following tax exemptions; x x x.*

This exemption extends to members of cooperatives. It must be emphasized that cooperatives exist for the benefit of their members. In fact, the primary objective of every cooperative is to provide goods and services to its members to enable them to attain increased income, savings, investments, and productivity.[30] Therefore, limiting the application of the tax exemption to cooperatives would go against the very purpose of a credit cooperative. Extending the exemption to members of cooperatives, on the other hand, would be consistent with the intent of the legislature.

The spirit, rather than the letter of a statute determines its construction, hence, a statute must be read according to its spirit or intent. For what is within the spirit is within the statute although it is not within the letter thereof, and that which is within the letter but not within the spirit is not within the statute. Stated differently, a thing which is within the intent of

the lawmaker is as much within the statute as if within the letter; and a thing which is within the letter of the statute is not within the statute unless within the intent of the lawmakers.[19]

The clashing interests of the State and the taxpayers are again pitted against each other. Two basic principles, the State's inherent power of taxation and its declared policy of fostering the creation and growth of cooperatives come into play. However, the one that embodies the spirit of the law and the true intent of the legislature prevails.

Dumaguete Cathedral Credit Cooperative (DCCCO) vs. Commissioner of Internal Revenue[20]

Petitioner Dumaguete Cathedral Credit Cooperative (DCCCO) is a credit cooperative duly registered with and regulated by the Cooperative Development Authority (CDA). It was established on February 17, 1968 with the following objectives and purposes: (1) to increase the income and purchasing power of the members; (2) to pool the resources of the members by encouraging savings and promoting thrift to mobilize capital formation for development activities; and (3) to extend loans to members for provident and productive purposes.

It has the power

(1) to draw, make, accept, endorse, guarantee, execute, and issue promissory notes, mortgages, bills of exchange, drafts, warrants, certificates and all kinds of obligations and instruments in connection with and in furtherance of its business operations; and

(2) to issue bonds, debentures, and other obligations; to contract indebtedness; and to secure the same with a mortgage

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[19] Dumaguete Cathedral Credit Cooperative (DCCCO) vs. Commissioner of Internal Revenue, 610 SCRA 652, January 22, 2010

[20] 610 SCRA 652, January 22, 2010

or deed of trust, or pledge or lien on any or all of its real and personal properties.

On November 27, 2001, the Bureau of Internal Revenue (BIR) Operations Group Deputy Commissioner, Lilian B. Hefti, issued Letters of Authority Nos. 63222 and 63223, authorizing BIR Officers Tomas Rambuyon and Tarcisio Cubillan of Revenue Region No. 12, Bacolod City, to examine petitioner's books of accounts and other accounting records for all internal revenue taxes for the taxable years 1999 and 2000.

On May 9, 2003, petitioner protested the Letters of Demand and Assessment Notices with the Commissioner of Internal Revenue (CIR). However, the latter failed to act on the protest within the prescribed 180-day period. Hence, on December 3, 2003, petitioner filed a Petition for Review before the CTA, docketed as C.T.A. Case No. 6827.

The CTA *En Banc* held that Section 57 of the NIRC requires the withholding of tax at source. Pursuant thereto, Revenue Regulations No. 2-98 was issued enumerating the income payments subject to final withholding tax, among which is *"interest from any peso bank deposit and yield, or any other monetary benefit from deposit substitutes and from trust funds and similar arrangements x x x."* According to the CTA En *Banc*, petitioner's business falls under the phrase *"similar arrangements;"* as such, it should have withheld the corresponding 20% final tax on the interest from the deposits of its members.

Petitioner raises the issue of whether or not it is liable to pay the deficiency withholding taxes on interest from savings and time deposits of its members for the taxable years 1999 and 2000, as well as the delinquency interest of 20% per annum.

The High Court held that although the tax exemption only mentions cooperatives, this should be construed to include the members pursuant to Article 126 of Republic Act No. 6938. — This exemption extends to members of cooperatives. It must be emphasized that cooperatives exist for the benefit of their members. In fact, the primary objective of every cooperative is to provide goods and services to its

> members to enable them to attain increased income, savings, investments, and productivity. Therefore, limiting the application of the tax exemption to cooperatives would go against the very purpose of a credit cooperative. Extending the exemption to members of cooperatives, on the other hand, would be consistent with the intent of the legislature. Thus, although the tax exemption only mentions cooperatives, this should be construed to include the members, pursuant to Article 126 of Republic Act No. 6938.

To encourage the formation of cooperatives and to create an atmosphere conducive to their growth and development, the State extends all forms of assistance to them, one of which is providing cooperatives a preferential tax treatment. — Under Article 2 of Republic Act No. 6938, as amended by Republic Act No. 9520, it is a declared policy of the State to foster the creation and growth of cooperatives as a practical vehicle for promoting self-reliance and harnessing people power towards the attainment of economic development and social justice. Thus, to encourage the formation of cooperatives and to create an atmosphere conducive to their growth and development, the State extends all forms of assistance to them, one of which is providing cooperatives a preferential tax treatment.[21]

Brief History of Law

Considering the American model and origin of the Philippine constitution, it is not surprising that Filipino jurists and legal scholars define and explain the nature of the Philippine constitution in similar terms that American constitutional law scholars explain their constitution. Chief Justice Fernando, citing *Laski,* wrote about the basic purpose of a civil society and government, *viz.*: *"The basic purpose of a State, namely to assure the happiness and welfare of its citizens is kept foremost in mind. To paraphrase Laski, it is not an end in itself but only a means to an end, the individuals composing it in their separate*

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[21] Dumaguete Cathedral Credit Cooperative (DCCCO) vs. Commissioner of Internal Revenue, 610 SCRA 652, January 22, 2010

and identifiable capacities having rights which must be respected. It is their happiness then, and not its interest, that is the criterion by which its behavior is to be judged; and it is their welfare, and not the force at its command, that sets the limits to the authority it is entitled to exercise."[22]

It was Holmes who said that the life of the law has not been logic; it has been experience. Thus the early Roman law was ritualistic and highly formal. Gradually, however, it evolved and form was replaced by substance. The development of the law did not stop there. The Roman praetorian law enlarged, supplemented and over-rode law which became narrow and rigid in scope. Finally common law produced equity jurisprudence. It is a formal set of legal and procedural rules and doctrines to aid and even override common and statute law in order to protect rights and enforce duties fixed by substantive law.[23]

Invoking natural law because the history, tradition and moral fiber of a people indubitably show adherence to it is an altogether different story, for ultimately, in our political and legal tradition, the people are the source of all government authority and the courts are their creation—while it may be argued that the choice of a school of legal thought is a matter of opinion, history is a fact against which one cannot argue. — In deciding a case, invoking natural law as solely a matter of the judge's personal preference, invites criticism that the decision is a performative contradiction and thus self-defeating. Critics would point out that while the decision invokes natural law that abhors arbitrariness, that same decision is tainted with what it abhors as it stands on the judge's subjective and arbitrary choice of a school of legal thought. Just as one judge will fight tooth and nail to defend the natural law philosophy, another judge will match his fervor in defending a

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[22] Justice Puno, Separate Opinion; Republic vs. Sandiganbayan, 407 SCRA 10, July 21, 2003

[23] Dissenting opinion of Justice Abad Santos in Ilagan vs. Enrile, 139 SCRA 349, October 21, 1985

contrary philosophy he espouses. However, invoking natural law because the history, tradition and moral fiber of a people indubitably show adherence to it is an altogether different story, for ultimately, in our political and legal tradition, the people are the source of all government authority, and the courts are their creation. While it may be argued that the choice of a school of legal thought is a matter of opinion, history is a fact against which one cannot argue — and it would not be turning somersault with history to say that the American Declaration of Independence and the consequent adoption of a constitution stood on a modern natural law theory foundation as this is universally taken for granted by writers on government.[24]

Although Filipinos have given democracy its own Filipino face, it is undeniable that our political and legal institutions are American in origin; When government not only defaults in its duty but itself violates the very rights it was established to protect, it forfeits its authority to demand obedience of the governed and could be replaced with one to which the people consent, and this highest of rights the Filipino people exercised in the EDSA Revolution of February 1986. — Two facts are easily discernible from our constitutional history. First, the Filipinos are a freedom-loving race with high regard for their fundamental and natural rights. No amount of subjugation or suppression, by rulers with the same color as the Filipinos' skin or otherwise, could obliterate their longing and aspiration to enjoy these rights. Without the people's consent to submit their natural rights to the ruler, these rights cannot forever be quelled, for like water, seeking its own course and level, they will find their place in the life of the individual and of the nation; natural right, as part of nature, will take its own course. Thus, the Filipinos fought for and demanded these rights from the Spanish and American colonizers, and in fairly recent history, from an authoritarian ruler. They wrote these rights in stone in every constitution they crafted starting from the 1899 Malolos Constitution. Second, although Filipinos have given democracy its own Filipino face, it is undeniable that our

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[24] Justice Puno, Separate Opinion; Republic vs. Sandiganbayan, 407 SCRA 10, July 21, 2003

political and legal institutions are American in origin. The Filipinos adopted the republican form of government that the Americans introduced and the Bill of Rights they extended to our islands, and were the keystones that kept the body politic intact. These institutions sat well with the Filipinos who had long yearned for participation in government and were jealous of their fundamental and natural rights. Undergirding these institutions was the modern natural law theory which stressed natural rights in free, independent and equal individuals who banded together to form government for the protection of their natural rights to life, liberty and property. The sole purpose of government is to promote, protect and preserve these rights. And when government not only defaults in its duty but itself violates the very rights it was established to protect, it forfeits its authority to demand obedience of the governed and could be replaced with one to which the people consent. The Filipino people exercised this highest of rights in the EDSA Revolution of February 1986.[25]

Structure of Our Legal System

To begin, the Philippine political structure is composed of three equal and coordinate branches of government.

These branches of government are more particularly described and referred to as follows:

a) The Executive;

b) The Legislative; and

c) The Judiciary.

It is to be admitted that the functions of government in the main are distributed to three departments, the legislative, the executive, and the judicial, which are independent, co-ordinate

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[25] Justice Puno, Separate Opinion; Republic vs. Sandiganbayan, 407 SCRA 10, July 21, 2003

and co-equal, with each of them having exclusive cognizance of matters within its jurisdiction, supreme within its own sphere, and free from interference in the exercise of powers entrusted to it, subject to the scheme of checks and balances as constitutionally ordained.[26] It is likewise a truism that on the legislature is vested 'the authority to make the laws, on the executive to enforce them, and on 'the judiciary lo interpret them in the course of deciding justiciable controversies of a private as well as of a public character in the course of which the legality of it he acts of the other two branches may be bested. Petitioner would thus logically conclude that the dispute between it and the three private respondents turning on their respective rights under the private pension plan subsequently integrated in the social security scheme, the courts, not respondent Commission, constitute the appropriate forum for its resolution.[27]

This is to ignore, however, that the principle of separation of powers is a relative theory of government not to be enforced with pedantic rigor. As a principle of statesmanship the practical demands of statecraft would argue against its theoretical

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[26] Luzon Stevedoring Corporation vs. Social Security Commission, 34 SCRA 178, July 31, 1970; citing *Cf.* Angara v. Electoral Commission, 63 Phil. 139 (1936). The instances cited by Justice Laurel, who wrote the opinion for the Court, are the power of the President to approve or disapprove legislation, his veto however being subject to be over, ridden; his power to convene the legislative body in special sessions; the power in turn of the latter to confirm or reject Presidential appointments; its power not only to apportion the jurisdiction of the courts but to determine what funds to appropriate for their support; its power to impeach certain officials: and lastly as far as the judiciary is concerned, its power of judicial review enabling it to annul executive or legislative acts.

[27] Luzon Stevedoring Corporation vs. Social Security Commission, 34 SCRA 178, July 31, 1970

application.[28] Justice Laurel, with vigor and clarity, expressed the matter thus:

> *"The classical separation of governmental powers, whether viewed in the light of the political philosophy of Aristotle, Locke, or Montesquieu, or of the postulations of Mabini, Madison, or Jefferson, is a relative theory of government. There is more truism and actuality in interdependence than in independence and separation of powers, for as observed by Justice Holmes in a case of Philippine origin, we cannot lay down 'with mathematical precision and divide the branches into watertight, compartments' not only because 'the great ordinances of the Constitution do not establish and divide fields of black and white but also because 'even the more specific of them are found to terminate in a penumbra shading gradually from one extreme to the other."*[29]

The basic philosophy of the presidential type of government adopted in our Constitution was expounded with force and lucidity by *Justice Laurel in Villena vs. Secretary of Interior*[30] in words the validity of which has not been impaired by the passage of time.[31]

As restated by the late Justice Jose P. Laurel in the 1936 landmark case of *Angara vs. Electoral Commission,*[32] *"The Constitution sets forth in no uncertain language the restrictions and limitations upon governmental powers and agencies. If these*

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[28] Luzon Stevedoring Corporation vs. Social Security Commission, 34 SCRA 178, July 31, 1970; citing Cf. Richardson v. Scudder, 160 NE 655 (1928). As Justice Cardozo pointed out: "The exigencies of government have made it necessary to relax a merely doctrinaire adherence to a principle so flexible and practical, so largely a matter of sensible approximation as the separation of powers."

[29] Planas v. Gil, 67 Phil. 62, 73-74 [1939]; citing Springer vs. Government [928], 277 US 189; 72 Law. ed., 845, 852

[30] *67 Phil. 451 [1939]*

[31] Tecson vs. Salas, 34 SCRA 275, July 31, 1970

[32] 63 Phil. 134 (1936)

restrictions and limitations are transcended it would be inconceivable if the Constitution had not provided for a mechanism by which to direct the course of government along constitutional channels, for then the distribution of powers would be mere verbiage, the bill of rights mere expressions of sentiment, and the principles of good government mere political apothegms. Certainly, the limitations and restrictions embodied in our Constitution are real as they should be in any living Constitution." Justice Laurel pointed out that in contrast to the United States Constitution, the Philippine Constitution as *"a definition of the powers of government"* placed upon the judiciary the great burden of *"determining the nature, scope and extent of such powers"* and stressed that *"when the judiciary mediates to allocate constitutional boundaries, it does not assert any superiority over the other department x x x but only asserts the solemn and sacred obligation entrusted to it by the Constitution to determine conflicting claims of authority under the Constitution and to establish for the parties in an actual controversy the rights which the instrument secures and guarantees to them."*[33]

The Executive

Refers to the branch of government that applies the law. This branch is headed by the President. Under the President is the Vice-President and the Cabinet Secretaries. Under the doctrine of qualified political agency, the President discharges his functions as chief executive officer and commander in chief of the country through his Secretaries who run their respective Departments. The President shall control of all the executive departments, bureaus and offices. He shall ensure that the laws be faithfully executed. This is a principle in political law that, since the multifarious executive and administrative functions of the Chief Executive are performed by and through executive departments, it is but necessary that the acts of the secretaries of departments when performed and promulgated in the regular course of business or unless disapproved or reprobated by the

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[33] Ilagan vs. Enrile, 139 SCRA 349, October 21, 1985

Chief Executive, are presumptively the acts of the Chief Executive.[34]

Thus, under this doctrine, all executive and administrative organizations are adjuncts of the executive department, and the multifarious executive and administrative functions of the Chief Executive are performed by and through the Executive Departments.[35]

The Legislative

Refers to the branch of government that makes the law. This branch is composed of two chambers — the Senate or the upper house and the House of Representatives, or lower house. The head of the Senate is called a Senate President while the head of the House of Representatives is called the Speaker of the House. Each chamber has its respective officers, members and term of office as provided for under the constitution. The Constitution vests legislative power in a bicameral Congress of the Philippines consisting of a Senate and a House of Representatives. This is the authority, under the Constitution, to make laws, and to alter and repeal them.[36]

Eloquently restated — the constitution is the shore of legislative authority against which the waves of legislative enactment may dash, but over which they cannot leap.[37] The power of Congress to enact legislative measures is plenary in nature — meaning that it can legislate laws and even amend, modify or repeal existing laws enacted by a previous Congress. The growing complexity of our society and government structure has so revolutionized the powers and duties of the legislative body such that its members are no longer confined to

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[34] Villena vs. Secretary of the Interior, 67 Phil 464

[35] DENR vs. DENR Region 12 Employees, 409 SCRA 359

[36] Government of the Philippine Islands vs. Springer, 50 Phil. 276

[37] Ibid.

making laws — they can perform such other functions, which are, strictly speaking, not within the ambit of the traditional legislative powers.[38]

It is the peculiar province of the legislature to prescribe general rules for the government of society. The essential of the legislative function is the determination of the legislative policy and its formulation and promulgation as a defined and binding rule of conduct.[39]

It must be borne in mind that subject to constitutional limitations, Congress is empowered to define what acts or omissions shall constitute a crime and to prescribe punishments therefore.[40]

The Judiciary

Refers to the branch of government that interprets the law. This is represented by the Supreme Court. The head of the Supreme Court is called a Chief Justice and joined by 14 other Associate Justices. The Constitution is a definition of the powers of government.

Who is to determine the nature, scope and extent of such powers?

The Constitution itself has provided for the instrumentality of the judiciary as the rational way. And when the judiciary mediates to allocate constitutional boundaries, it does not assert any superiority over the other departments; it does not in reality nullify or invalidate an act of the Legislature, but only asserts the solemn and sacred obligation assigned to it by the Constitution to determine conflicting claims of authority

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[38] Honasan II vs. Panel of the Investigating Prosecutors of the DOJ, 427 SCRA 46

[39] Occena vs. COMELEC, 95 SCRA 759

[40] Executive Secretary vs. CA, 429 SCRA 81

under the Constitution and to establish for the parties in an actual controversy the rights which that instrument secures and guarantees to them. This is in truth all that is involved in what is termed *"judicial supremacy"* which properly is the power of judicial review under the Constitution.[41]

A provision which has been introduced by the 1987 Constitution is a definition, for the first time in our fundamental law, of the term *"judicial power,"* as such authority and duty of courts of justice *"to settle actual controversies involving rights which are legally demandable and enforceable and to determine whether or not there has been a grave abuse of discretion, amounting to lack or excess of jurisdiction, on the part of any branch or instrumentality of the Government"*.[42]

As the constitution vests judicial power in one Supreme Court and in such lower courts as may be established by law — judicial power, by its nature, is the power to hear and decide causes pending between parties who have the right to sue and be sued in the courts of law and equity.[43]

Although holding neither purse nor sword and so regarded as the weakest of the three departments of the government, the judiciary is nonetheless vested with the power to annul the acts of either the legislative or the executive or of both when not conformable to the fundamental law. This is the reason for what some quarters call it the doctrine of judicial supremacy. Even so, this power is not lightly assumed or readily exercised. The doctrine of separation of powers imposes upon the courts a proper restraint, born of the nature of their functions

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[41] Angara vs. Electoral Commission; G.R. No. 45081. July 15, 1936

[42] Kilosbayan vs. Morato G.R. No. 118910. July 17, 1995

[43] Lamb vs. Phipps, 22 Phil. 559

and of their respect for the other departments, in striking down the acts of the legislative and the executive as unconstitutional.[44]

The Constitution is basically a charter of limitations of governmental power and enshrines a system of separation of powers and checks and balances under which no man is the law nor above the law. It ordains the weakest department, the Supreme Court, as the guardian and final arbiter of the Constitution. It postulates and requires a free and independent judiciary, sworn to defend and enforce the Constitution and the law without fear or favor. It mandates that civilian authority is at all times supreme over the military. Like His Holiness, the Pope, the Supreme Court has no battalions, tanks or guns to enforce its decisions. Its strength lies in that its verdicts would be obeyed by the sheer moral force and truth of its judgments for as long as the Court kept the faith and confidence reposed in it by the people through the Constitution to render justice and sustained their moral conviction that through the Supreme Court, justice and the voice of reason and truth would prevail in the end. Under the Rule of Law, *"Judicial decisions applying or interpreting the laws or the Constitution shall form apart of the legal system of the Philippines"*[45] and the Executive and all its offices and agencies, and particularly the military, are called upon to execute the laws as so interpreted and adjudged by the courts.[46]

Note, however, that the Court may exercise its power of judicial review only if the following requisites are present: (1) an actual and appropriate case and controversy exists; (2) a personal and substantial interest of the party raising the constitutional question; (3) the exercise of judicial review is

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[44] Association of Small Landowners vs. Secretary of Agrarian Reform; G.R. No. 78742. July 14, 1989

[45] Art. 8, Civil Code

[46] Ilagan vs. Enrile, 139 SCRA 349, October 21, 1985

pleaded at the earliest opportunity; and (4) the constitutional question raised is the very *lis mota* of the case.[47]

Judicial review exists precisely to test the validity of executive or legislative acts in an appropriate legal proceedings; there is always the possibility of their being declared inoperative and void. Realism compels the acceptance of the though that there would be a time-lag between the initiation of such presidential or congressional exercise of power and the final declaration of nullity. In the meanwhile, it would be productive of confusion, perhaps at times even of chaos, if the parties affected were left free to speculate as to its fate being one of doom, this leading them free to disobey in the meanwhile. Since, however, the orderly processes of government, not to mention common sense, requires that the presumption of validity be accorded an act of Congress or an order of the President. It would be less than fair, and it may productive of injustice, if no notice of its assistance as a fact be paid to it, even if thereafter, it is stricken down as contrary, in the case of Presidential act, either to the Constitution or a controlling statute.[48]

A justiciable controversy involves a definite and concrete dispute touching on the legal relations of the parties having adverse legal interest.[49] As for the third requisite for judicial review, it should not be taken to mean that the question of constitutionality must be raised immediately after the execution of the state action complained of — that the question of constitutionality has not been raised before is not a valid reason for refusing to allow it to be raised later.[50]

Constitutional Commissions

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[47] Arceta vs. Mangrobang, 432 SCRA 136

[48] Municipality of Malabang vs. Benito, 27 SCRA 533

[49] Sanlakas vs. Executive Secretary, 421 SCRA 656

[50] La Bugal-B'Laan Tribal Association, Inc. vs. Ramos, 421 SCRA 148

The 1987 Philippine Constitution created three (3) independent commissions — the Civil Service Commission (CSC), the Commission on Elections (COMELEC) and the Commission on Audit (COA). To ensure their independence, these constitutional commissions enjoy fiscal autonomy — meaning their approved annual appropriations are automatically and regularly released.

Article IX of the Constitution states in no uncertain terms that only the CSC, the Commission on Elections, and the Commission on Audit shall be tagged as Constitutional Commissions with the appurtenant right to fiscal autonomy. Thus: Sec. 1. The Constitutional Commissions, which shall be independent, are the Civil Service Commission, the Commission on Elections, and the Commission on Audit.[51]

It should be noted that the Constitution provides for stringent conditions if one is to be a member of said constitutional commissions. It explicitly states that no member of a constitutional commission shall, during his tenure, hold any other office or employment. Neither shall he engage in the practice of any profession or in the active management or control of any business which in any way be affected by the functions of his office, nor shall he be financially interested, directly or indirectly, in any contract with, or in any franchise or privilege granted by the Government, any of its subdivisions, agencies, or instrumentalities, including government-owned or controlled corporation or their subsidiaries. Moreover, their salaries are fixed by law and cannot be decreased during their tenure.

Without diminishing, increasing or modifying substantive rights, these constitutional commissions are allowed by the Constitution to promulgate its own rules concerning pleadings and practice before it or before any of its offices. The Constitution further provides that each commission shall decide

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[51] Commission on Human Rights Employees' Association (CHREA) vs. Commission on Human Rights, 444 SCRA 300, November 25, 2004

by a majority vote of all its members any case or matter brought before it within sixty days from the date of its submission for decision or resolution. Please note that a case or matter is deemed submitted for decision or resolution upon the filing of the last pleading, brief, or memorandum required. Finally, any decision, order, or ruling may be brought to the Supreme Court on *certiorari* by the aggrieved party within thirty days from receipt of a copy thereof.

The Civil Service Commission

The civil service embraces all branches, subdivisions, instrumentalities, and agencies of the Government, including government-owned or controlled corporations with original charters.

Article IX-B of the 1987 Constitution entrusts to the Civil Service Commission the administration of the civil service, which is comprised of *"all branches, subdivisions instrumentalities, and agencies of the Government, including government-owned or - controlled corporations with original charters."*[52]

As can be inferred from its name — the Civil Service Commission (CSC) serves as the human resource agency of the entire Philippine bureaucracy tasked with the formulation, monitoring and implementation of quality standards in public service based on a merit system. The civil service embraces all branches, subdivisions, instrumentalities, and agencies of the Government, including government-owned or controlled corporations with original charters.

The Civil Service Commission is one of the three independent Constitutional Commissions invested with adjudicative powers to render final arbitration on disputes and

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[52] Career Executive Board vs. Civil Service Commission, 819 SCRA 482 [2017]

personnel actions involving matters relating to the Civil Service.[53]

Book V, Title I, Subtitle A, Chapter 3, Section 12 thereof enumerates the specific powers and functions of the Civil Service Commission while recognizing its comprehensive authority over all civil service matters.[54] The Administrative Code of 1987 also gave the Civil Service Commission the power to *"prescribe, amend and enforce regulations an rules for carrying into effect the provision of the Civil Service Law and other pertinent laws."*[55]

The Supreme Court has ruled that the only function of the Civil Service Commission is merely to ascertain whether the appointee possesses the minimum requirements under the law; if it is so, then the CSC has no choice but to attest to such appointment.[56] The Civil Service Commission is, in any case, vested with jurisdiction to review the decision of the appointing authority.[57]

Although public servants are protected from removal or suspension without just cause they are, however, prohibited from engaging directly or indirectly, in any electioneering or partisan political campaign. Since the Civil Service Commission is the central personnel agency of the government, the Constitution mandates that it shall establish a career service and adopt measures to promote morale, efficiency, integrity, responsiveness, progressiveness, and courtesy in the civil service. It is also mandated to strengthen the merit and rewards system, to integrate all human resources development programs

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[53] Feliciano vs. Department of National Defense, 844 SCRA 401 [2017]

[54] Career Executive Board vs. Civil Service Commission, 819 SCRA 482 [2017]

[55] Galindo vs. Commission on Audit, 814 SCRA 73 [2017]

[56] Cerilles vs. Civil Service Commission, 846 SCRA 15 [2017]

[57] Ibid.

for all levels and ranks, and to institutionalize a management climate conducive to public accountability.

Since public office is a public trust, appointments in the civil service shall be made only according to merit and fitness to be determined, as far as practicable, and, except to positions which are policy-determining, primarily confidential, or highly technical, by competitive examination. Although public servants are protected from removal or suspension without just cause they are, however, prohibited from engaging directly or indirectly, in any electioneering or partisan political campaign.

Since the Civil Service Commission is the central personnel agency of the government, the Constitution mandates that it shall establish a career service and adopt measures to promote morale, efficiency, integrity, responsiveness, progressiveness, and courtesy in the civil service. It is also mandated to strengthen the merit and rewards system, to integrate all human resources development programs for all levels and ranks, and to institutionalize a management climate conducive to public accountability.

"It is well settled that the determination of the kind of appointment to be extended lies in the official vested by law with the appointing power and not the Civil Service Commission. The Commissioner of Civil Service is not empowered to determine the kind or nature of the appointment extended by the appointing officer. When the appointee is qualified, as in this case, the Commissioner of Civil Service has no choice but to attest to the appointment"

Luego vs. CSC[58]

Petitioner's permanent appointment as Administrative Officer II, Office of the City Mayor, Cebu City, was initially approved as *"temporary,"* by the CSC subject to the final action taken in the protest filed by other parties who vied for the position. Subsequent thereto, the CSC found petitioner's rival better qualified for the contested position thereby revoking his appointment.

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[58] G.R. No. L-69137. August 5, 1986

> In setting aside the decision of the CSC, the Supreme Court held that — the Civil Service Commission is not empowered to determine the kind or nature of the appointment extended by the appointing officer, its authority being limited to approving or reviewing the appointment in the light of the requirements of the Civil Service Law. When the appointee is qualified and all the other legal requirements are satisfied, the Commission has no choice but to attest to the appointment in accordance with the Civil Service Laws.

This ruling was later on reinforced in a number of cases more memorably in *Lapinid vs. CSC*[59] where the High Court through the lyrical prose of Justice Cruz declared that — the determination of who among several candidates for a vacant position has the best qualifications is vested in the sound discretion of the Department Head or appointing authority and not in the Civil Service Commission. Every particular job in an office calls for both formal and informal qualifications. Formal qualifications such as age, number of academic units in a certain course, seminars attended, etc., may be valuable but so are such intangibles as resourcefulness, team spirit, courtesy, initiative, loyalty, ambition, prospects for the future, and best interests of the service. Given the demands of a certain job, who can do it best should be left to the Head of the Office concerned provided the legal requirements for the office are satisfied. The Civil Service Commission cannot substitute its judgment for that of the Head of Office in this regard.

The Commission on Elections

In the present set-up of the COMELEC, the Supreme Court observed that — the present Constitution upgraded to a constitutional status the aforesaid statutory authority to grant the Commission broader and more flexible powers to effectively perform its duties and to insulate it further from legislative intrusions. Doubtless, if its rule-making power is made to

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[59] G.R. No. 96298. May 14, 1991

depend on statutes, Congress may withdraw the same at any time. Indeed, the present Constitution envisions a truly independent Commission on Elections committed to ensure free, orderly, honest peaceful and credible elections, and to serve as the guardian of the people's sacred right of suffrage — the citizenry's vital weapon in effecting a peaceful change of government and in achieving and promoting political stability.[60]

In a similar fashion, due regard to the independent character of the Commission on Elections, as ordained in the Constitution requires that the power of the Supreme Court to review the acts of that body should, as a general proposition, be used sparingly, but firmly in appropriate cases.[61]

"Hence, the present Constitution upgraded to a constitutional status the aforesaid statutory authority to grant the Commission broader and more flexible powers to effectively perform its duties and to insulate it further from legislative intrusions. Doubtless, if its rule-making power is made to depend on statutes, Congress may withdraw the same at any time.

"Indeed, the present Constitution envisions a truly independent Commission on Elections committed to ensure free, orderly, honest. peaceful and credible elections, and to serve as the guardian of the people's sacred right of suffrage — the citizenry's vital weapon in effecting a peaceful change of government and in achieving and promoting political stability."

Gallardo vs. Tabamo[62]

A petition for *certiorari* and prohibition was filed by then GoGallardo against Judge Tabamo seeking to restrain the latter from continuing with the judicial proceedings then pending against the former.

Petitioner posited the argument that the said case principally involves an alleged violation of the provisions

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[60] Galardo vs. Tabamo; G.R. No. 104848. January 29, 1993

[61] Information Technology Foundation of the Philippines vs. COMELEC, 419 SCRA 141

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of the Omnibus Election Code the jurisdiction over which is exclusively vested in the Commission on Elections (COMELEC).

In reservedly agreeing with the contention of the petitioner the High Court ruled that since the case pending before the RTC involved the enforcement of election-related laws, it properly belongs within the ambit of the COMELEC and not the RTC.

The Commission on Elections is vested by the Constitution with exclusive charge of the enforcement and administration of all laws relative to the conduct of elections; hence, the assumption of jurisdiction by the trial court over a case involving the enforcement of the election code is at war with the plain constitutional command, the implementing statutory provisions and the hospitable scope afforded such grant of authority so clear and unmistakable in recent decisions

The Commission on Elections, as an independent Constitutional Commission, is clothed with the three powers of government — executive or administrative, legislative and quasi-judicial powers.[63] As the body mandated by the Constitution to enforce and administer all laws relative to the conduct of elections, it is the bounder duty of the COMELEC to ensure that the will of the electorate prevails.[64]

The Commission on Audit

The Commission on Audit (COA) is the government's watchdog on the disbursement and use of public funds. The Constitution specifically vests in the Commission on Audit the authority to determine whether the government entities comply with laws and regulations in disbursing government funds.[65]

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[63] Cipriano vs. COMELEC, 436 SCRA 45

[64] Salic vs. COMELEC, 425 SCRA 735

[65] De Jesus vs. COA, 422 SCRA 287

It is mandated to determine whether government entities comply with laws and regulations in disbursing government funds, and to disallow illegal or irregular disbursements of government funds.[66]

Simply put, the Commission on Audit is the central auditor of the government. The exercise of the COA of its general audit power is among the constitutional mechanisms that give life to the check-and-balance system inherent in a republican form of government.[67]

In *Dingcong vs. Guingona*[68], the Supreme Court observed that — *not only is the Commission on Audit (COA) vested with the power and authority, but it is also charged with the duty, to examine, audit and settle all accounts pertaining to . . . the expenditures or uses of funds . . . owned . . . by, or pertaining to, the Government or any of its subdivisions, agencies, or instrumentalities (Article IX[D], Section 2[1], 1987 Constitution).*

Not only is the COA empowered by the constitution to conduct a post-audit[69] but it also has the power to audit non-governmental entities receiving subsidy from or through the government.[70]

Recommended Individual or Group Reading and Reporting

The following legal articles, cases, SCRA annotations, news articles taken from various sources and internet sites may be

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[66] KMG vs. COA, 437 SCRA 371

[67] CIR vs. COA; G.R. No. 101976. January 29, 1993

[68] G.R. No. 76044. June 28, 1988.

[69] DBP vs. COA; 231 SCRA 202

[70] Blue Bar vs. Tantuico; 163 SCRA 716

used as a contextual backdrop for use in individual or group reports and discussions, whenever appropriate or applicable:

1. *Tecson vs. Salas, 34 SCRA 275, July 31, 1970;*

2. *Francisco vs. Nagmamalasakit na mga Manananggol ng mga Manggagawang Pilipino*, 415 SCRA 44, November 10, 2003;

3. *Estrada vs. Desierto*, 353 SCRA 452, March 02, 2001;

4. *Alonzo vs. Intermediate Appellate Court*, G.R. No. 72873, May 28, 1987;

5. *League of Cities of the Philippines vs. Commission on Elections*, G.R. No. 176951, December 21, 2009; and

6. *Dumaguete Cathedral Credit Cooperative vs. Commissioner of Internal Revenue*, G.R. No. 182722, January 22, 2010.

CHAPTER 2
Schools of Thought

> *"Freedom of men under government is to have a standing rule to live by, common to every one of that society, and made by the legislative power vested in it; a liberty to follow my own will in all things, when the rule prescribes not, and not to be subject to the inconstant, uncertain, unknown, arbitrary will of another man."*
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> — *John Locke*
> *On Government Bk. X, ch. 4*

Classical Theories

According to Prof. Lohel Martirez — there are two theories as to what philosophy should underlie the criminal law system: the classical or juristic and the positivist or realistic. To the classicist, specifically the framers of the Spanish Penal Code of 1870, man is essentially a moral creature with an absolutely free will to choose between good and evil. They assert that man should only be adjudged or held accountable for wrongful acts so long as free will appears unimpaired. In working out this theory, the Penal Code of 1870 placed more stress upon the effect or result of the felonious act than upon the man — criminal himself, and endeavored to establish a mechanical and direct proportion between crime and penalty. However, eventually the classical method of considering the offender as an abstract being, and of prefixing for him, through a series of hard-and-fast rules, a great multitude of penalties with scant regard to the human element, found stubborn and severe critics in the persons of Dr.

Cesare Lombroso and Professors Rafael Garofalo and Enrico Ferri, who were the forerunners and founders of the positivist school of criminology.[71]

The positivist theory deviates from the classical in the conception of crime and of the criminal. To the positivist, free will is a myth, a figment of the imagination, or at least a debatable matter. The positivist hold that man is subdued occasionally by a strange and morbid phenomenon which constrains him to do wrong, in spite of or contrary to his volition. It is for this reason that the central idea of all positivist thinking is the defense of the community from anti-social activities, whether actual or potential, against the morbid type of man who is called a "socially dangerous person." To forestall the social danger and to achieve social defense, the positivist philosophy has thus chosen a different path. Premised upon the proposition that man is primary, while the deed is only secondary, the new school takes the view that a crime is essentially a social and natural phenomenon, and as such it cannot be treated and checked by the application of abstract principles of law and jurisprudence nor by the imposition of a punishment, fixed and determined a priori; but rather through the enforcement of individual measures in each particular case after a thorough, personal and individual investigation conducted by a competent body of psychiatrists and social scientists.[72]

Natural Law

Natural law theory proposes that there is a link or relationship between concepts of law and morality. As it stands, one can fully appreciate the nature of law through a necessary reference to established precepts of morality.

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[71] Martiez, Lohel. Annotation: Rape Under Paragraph 3 of Article 335 Of The Revised Penal Code, 95 SCRA 652, January 28, 1980

[72] Martiez, Lohel. Annotation: Rape Under Paragraph 3 of Article 335 Of The Revised Penal Code, 95 SCRA 652, January 28, 1980; citing Report of the Code Commission, XVI L.J., 19-20

It may very well be, as noted by jurists of repute, that to stress the element of a promise as the basis of contracts is to acknowledge the influence of natural law.[73] Nonetheless, it does not admit of doubt that whether under the civil law or the common law, the existence of a contract is unthinkable without one's word being plighted. So the New Civil Code provides: *"A contract is a meeting of minds between two persons whereby one binds himself, with respect to the other, to give something or to render some service."*[74] So it is likewise under American law. Thus:

> *"A contract is a promise or a set of promises for the breach of which the law gives a remedy, or the performance of which the law in some way recognizes as a duty."*[75]

The law may go further and require that certain formalities be executed. Thus, for a mortgage to be validly constituted, *"it is indispensable, x x x, that the document in which it appears be recorded in the Registry of Property."* The same codal provision goes on: *"If the instrument is not recorded. the mortgage is nevertheless binding between the parties."*[76]

Natural Law; With the establishment of civil government and a constitution, there arises a conceptual distinction between natural rights and

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[73] Mobil Oil Philippines, Inc. vs, Diocares, 29 SCRA 656, September 30, 1969; citing Cohen and Cohen, Readings *in* Jurisprudence and Legal Philosophy, p. 102 (1951), citing Chief Justice Marshall in Sturges vs. Crowninshield, 4 Wheat 122 (1819) *and* Chief Justice Taney in Charles River Bridge vs. Warren Bridge, 11 Pet. 420

[74] Mobil Oil Philippines, Inc. vs, Diocares, 29 SCRA 656, September 30, 1969; citing Art. .1806, The New Civil Code.

[75] Mobil Oil Philippines, Inc. vs, Diocares, 29 SCRA 656, September 30, 1969; citing American Law Institute, Restatement of the Law on Contracts, p. 1 (1932).

[76] Mobil Oil Philippines, Inc. vs, Diocares, 29 SCRA 656, September 30, 1969; *citing Art 2125 of the New Civil Code provides: "In addition to the requisites* stated in article 2085, it is indispensable, in order that a mortgage may be validly constituted, that the docu ment in which it appears be recorded in the Registry of Property. If the instrument is not recorded, the mortgage is nevertheless binding between the parties."

civil rights, difficult though to define their scope and delineation. — With the establishment of civil government and a constitution, there arises a conceptual distinction between natural rights and civil rights, difficult though to define their scope and delineation. It has been proposed that natural rights are those rights that "appertain to man in right of his existence." These were fundamental rights endowed by God upon human beings, "all those rights of acting as an individual for his own comfort and happiness, which are not injurious to the natural rights of others." On the other hand, civil rights are those that "appertain to man in right of his being a member of society." These rights, however, are derived from the natural rights of individuals since: "Man did not enter into society to become worse off than he was before, nor to have fewer rights than he had before, but to have those rights better secured. His natural rights are the foundation of all his rights." Civil rights, in this sense, were those natural rights — particularly rights to security and protection — which by themselves, individuals could not safeguard, rather requiring the collective support of civil society and government, Thus, it is said: "Every civil right has for its foundation, some natural right pre-existing in the individual, but to the enjoyment of which his individual power is not, in all cases, sufficiently competent."[77]

Republic of the Philippines
vs. Sandiganbayan[78]

This is a petition for certiorari seeking to set aside the Resolutions of the Sandiganbayan dated November 18, 1991 and March 25, 1992 which dismissed the petition to amend complaint and ordered the returned of the confiscated items to respondent Elizabeth Dimaano while the second Resolution denied petitioners Motion for Reconsideration.

President Corazon Aquino immediately upon assuming office in Malacanang issued Executive No. 1 (EO No. 1) creating the Presidential Commission on Good Governance (PCGG). The Commission's primary task is to recover all ill- gotten wealth of Former President Ferdinand Marcos, his relatives, subordinates and close associates. The PCGG had its power to conduct investigation as may be necessary in order to accomplish and carry out the purposes of this order and the power to promulgate such rules and regulations as may be

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[77] Separate Opinion, Justice Puno; Republic vs. Sandiganbayan, 407 SCRA 10, July 21, 2003

[78] GR No. 104768

necessary to carry out the purpose of the order. Through PCGG's chairman Jovito Salonga, created an AFP Anti-Graft Board task to investigate reports of unexplained wealth of military personnel.

On July 27, 1987, the AFP Board issues a resolution and findings on Ramas' alleged ill-gotten wealth, evidenced showed that Ramas owns various property. Affidavits submitted by the members of the military security units disclosed that Elizabeth Dimaano is the mistress of General Ramas. The Board then conducted searches in the premises of Dimaano, during that time Dimaano was not in her house, and found communication equipment and facilities which belongs to the military, also the board confiscate money amounting to 50,000. The board believes that the items could not have been in the possession of Dimaano if not for Ramas. It is recommended that Ramas be prosecuted and tried for violation of Anti-Graft and Corruption Practices.

The petitioner wants the Court take judicial notice that the raiding team conducted the search and seizure, five days after the successful EDSA revolution. The contention of the petitioner that a revolutionary government was operative at that time, and such the operation of the 1973 Constitution which guaranteed private respondents exclusionary right is withheld.

Was the search conducted in the house of Dimaano legal, invoking her right against unreasonable search and seizure?

The search conducted by the team is valid. The search and seizure is valid as to the specific items indicated in the warrant but not with the money confiscated which is excluded in the search warrant. Contentions of the petitioner are affirmed by the Court. Stating that at the time of the search there exist a revolutionary government bound by no constitution. No one can questioned the seizure orders as violative of the Bill of Rights provided in 1973 Constitution.

As to the Separate Opinion of Justice Puno — he disagreed with the conclusion that the private respondent

> cannot invoke the right against unreasonable search and seizure and the exclusionary right. Justice Puno uses the natural law point of view in explaining his position in the said matter. He states that natural law theory, the emphasis was placed on moral duties of man-both rulers and subject rather than on rights of the individual citizen, this developed theory gives particular emphasis to the individual and his natural rights. He then states that the right to be safe and protected is part of the natural right of a person. Thus Dimaano can invoke the right against unreasonable search and seizure, it is her natural right. Human beings has a natural right to life, liberty and property which can exercise regardless of existing or non-existing laws and irrespective of the will or lack of will of the governments.

Thus, the High Court observed that — *with* the establishment of civil government and a constitution, there arises a conceptual distinction between *natural rights* and *civil rights*, difficult though to define their scope and delineation. It has been proposed that *natural rights* are those rights that *"appertain to man in right of his existence."* These were fundamental rights endowed by God upon human beings, *"all those rights of acting as an individual for his own comfort and happiness, which are not injurious to the natural rights of others."* On the other hand, *civil rights* are those that *"appertain to man in right of his being a member of society."* These rights, however, are derived from the natural rights of individuals since: *"Man did not enter into society to become worse off than he was before, nor to have fewer rights than he had before, but to have those rights better secured. His natural rights are the foundation of all his rights."* Civil rights, in this sense, were those natural rights — particularly rights to security and protection — which by themselves, individuals could not safeguard, rather requiring the collective support of civil society and government, Thus, it is said: *"Every civil right has for its foundation, some natural right pre-existing in the individual, but to the enjoyment of which his individual power is not, in all cases, sufficiently competent."*[79]

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[79] Republic vs. Sandiganbayan, 407 SCRA 10, July 21, 2003

Legal Positivism

According to Wrenn[80] — opposed to all forms of naturalism is legal positivism, which is roughly constituted by three theoretical commitments:

> (a) *The Social Fact Thesis* — It asserts that legal validity is a function of certain social facts. Borrowing heavily from Jeremy Bentham, John Austin (1995) argues that the principal distinguishing feature of a legal system is the presence of a sovereign who is habitually obeyed by most people in the society, but not in the habit of obeying any determinate human superior. On Austin's view, a rule R is legally valid (that is, is a law) in a society S if and only if R is commanded by the sovereign in S and is backed up with the threat of a sanction. The relevant social fact that confers validity, on Austin's view, is promulgation by a sovereign willing to impose a sanction for noncompliance;[81]
>
> (b) *The Conventionality Thesis* — It proposes that it is a conceptual truth about law that legal validity can ultimately be explained in terms of criteria that are authoritative in virtue of some kind of social convention. Thus, for example, H.L.A. Hart (1996) believes the criteria of legal validity are contained in a rule of recognition that sets forth rules for creating, changing, and

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[80] "Naturalistic Epistemology," by Chase B. Wrenn, *The Internet Encyclopedia of Philosophy*, ISSN 2161-0002, https://www.iep.utm.edu/, Accessed 1 March 2020.

[81] "Naturalistic Epistemology," by Chase B. Wrenn, *The Internet Encyclopedia of Philosophy*, ISSN 2161-0002, https://www.iep.utm.edu/, Accessed 1 March 2020.

adjudicating law. On Hart's view, the rule of recognition is authoritative in virtue of a convention among officials to regard its criteria as standards that govern their behavior as officials. While Joseph Raz does not appear to endorse Hart's view about a master rule of recognition containing the criteria of validity, he also believes the validity criteria are authoritative only in virtue of a convention among officials;[82] and

(c) *The Separability Thesis* — This is more commonly interpreted as making only an object-level claim about the existence conditions for legal validity. As Hart describes it, the Separability Thesis is no more than the *"simple contention that it is in no sense a necessary truth that laws reproduce or satisfy certain demands of morality, though in fact they have often done so."*[83] Insofar as the object-level interpretation of the Separability Thesis denies it is a necessary truth that there are moral constraints on legal validity, it implies the existence of a possible legal system in which there are no moral constraints on legal validity.[84]

The *Social Fact Thesis* (which is also known as the *Pedigree Thesis*) asserts that it is a necessary truth that legal validity is ultimately a function of certain kinds of social facts. The *Conventionality Thesis* emphasizes law's conventional nature,

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[82] "Naturalistic Epistemology," by Chase B. Wrenn, *The Internet Encyclopedia of Philosophy*, ISSN 2161-0002, https://www.iep.utm.edu/, Accessed 1 March 2020.

[83] Citing Hart 1994, pp. 181-82

[84] "Naturalistic Epistemology," by Chase B. Wrenn, *The Internet Encyclopedia of Philosophy*, ISSN 2161-0002, https://www.iep.utm.edu/, Accessed 1 March 2020.

claiming that the social facts giving rise to legal validity are authoritative in virtue of some kind of social convention. The *Separability Thesis*, at the most general level, simply denies naturalism's Overlap Thesis; according to the Separability Thesis, there is no conceptual overlap between the notions of law and morality.[85]

The doctrine of non-suability recognized in this jurisdiction even prior to the effectivity of the Constitution is a logical corollary of the positivist concept of law which to paraphrase Holmes negates the assertion of any legal right as against the state, in itself the source of the law on which such a right may be predicated. Nor is this all. Even if such a principle does give rise to problems considering the vastly expanded role of government enabling it to engage in business pursuits to promote the general welfare, it is not obeisance to the analytical school of thought alone that calls for its continued applicability. Why it must continue to be so, even if the matter be viewed sociologically, was set forth in *Providence Washington Insurance vs. Republic* thus: *"Nonetheless, a continued adherence to the doctrine of non-suability is not to be deplored for as against the inconvenience that may be caused private parties, the loss of governmental efficiency and the obstacle to the performance of its multifarious functions are far greater if such a fundamental principle were abandoned and the availability of judicial remedy were not thus restricted. With the well known propensity on the part of our people to go to court, at the least provocation, the loss of time and energy required to defend against law suits, in the absence of such a basic principle that constitutes such an effective obstacle, could very well be imagined."*[86]

According to Nitafan — Sir John Austin, one of the well-known positivists, laid down the distinction between positive law and natural law, contradicting Blackstone's Commentaries

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[85] "Naturalistic Epistemology," by Chase B. Wrenn, *The Internet Encyclopedia of Philosophy*, ISSN 2161-0002, https://www.iep.utm.edu/, Accessed 1 March 2020.

[86] Switzerland General Insurance vs. Republic, 32 SCRA 227 [1970]

of the Laws of England, that positive law is void if it not in accordance with the natural law. In one of his lecture, Austin formulated:[87]

> *"What appears pernicious to one person may appear beneficial to another . . . To prove by pertinent reasons that a law is pernicious is highly useful, because such process may lead to the abrogation of the pernicious law. To incite the public to resistance . . . may be useful, for resistance grounded on clear and definite prospects of good is sometimes beneficial. But to proclaim generally that all laws which are pernicious or contrary to the will of God are void and not to be tolerated, is to preach anarchy, hostile and prelious as much to wise and benign rule as to stupid and galling tyranny."*[88]

More than a century before Austin, Thomas Hobbes already generally recognized the concept of law in terms of legal positivism. Hobbes advanced the idea that it is improbable for any statute to be unjust. In his *Leviathan,* Hobbes wrote that *"before the names of just and unjust can take place, there must be some coercive power to compel men equally to the performance of their covenants . . . and such power there is none before the creation of a commonwealth."* Austin embedded in his jurisprudence the idea of Thomas Hobbes. Both were perplexed by the fact that there are rules of action that are morally desirable but are not enacted into laws.[89]

Positivism and the Separation Thesis

What may be right, may not be moral.

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[87] Nitafan, David. Annotation: Justice (A Philosophical Perspective), 208 SCRA 617, May 08, 1992

[88] Nitafan, David. Annotation: Justice (A Philosophical Perspective), 208 SCRA 617, May 08, 1992; citing Lectures on Jurisprudence, 215-216 (Library of Ideas, ed.).

[89] Nitafan, David. Annotation: Justice (A Philosophical Perspective), 208 SCRA 617, May 08, 1992

The final thesis comprising the foundation of legal positivism is the Separability Thesis. In its most general form, the Separability Thesis asserts that law and morality are conceptually distinct.[90]

More commonly, the Separability Thesis is interpreted as making only an object-level claim about the existence conditions for legal validity. As Hart describes it, the Separability Thesis is no more than the *"simple contention that it is in no sense a necessary truth that laws reproduce or satisfy certain demands of morality, though in fact they have often done so"*.[91] Insofar as the object-level interpretation of the Separability Thesis denies it is a necessary truth that there are moral constraints on legal validity, it implies the existence of a possible legal system in which there are no moral constraints on legal validity.[92]

Though all positivists agree there are possible legal systems without moral constraints on legal validity, there are conflicting views on whether there are possible legal systems *with* such constraints. According to inclusive positivism (also known as incorporationism and soft positivism), it is possible for a society's rule of recognition to incorporate moral constraints on the content of law. Prominent inclusive positivists include Jules Coleman and Hart, who maintains that *"the rule of recognition may incorporate as criteria of legal validity conformity with moral principles or substantive values ... such as the Sixteenth or*

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[90] "Naturalistic Epistemology," by Chase B. Wrenn, *The Internet Encyclopedia of Philosophy*, ISSN 2161-0002, https://www.iep.utm.edu/, 1 March 2020

[91] "Naturalistic Epistemology," by Chase B. Wrenn, *The Internet Encyclopedia of Philosophy*, ISSN 2161-0002, https://www.iep.utm.edu/, 1 March 2020; citing Hart 1994, pp. 181-82

[92] "Naturalistic Epistemology," by Chase B. Wrenn, *The Internet Encyclopedia of Philosophy*, ISSN 2161-0002, https://www.iep.utm.edu/, 1 March 2020

Nineteenth Amendments to the United States Constitution respecting the establishment of religion or abridgements of the right to vote".[93]

Although greatly reduced in influence with the advent of positivism, natural law is still considered a necessary intellectual opposition to totalitarian theories of modern governance particularly in the aspect of human rights. Though most of our notion of human rights have already been transcribed and written down in various statutory enactments, including the fundamental law, it seems that our universal concept of human rights cannot fully be appreciated if the same are confined within statutory pronouncements. One's humanity, after all, cannot be summarized within an encapsulated statute.

Modern Theories

Legal Realism

The legal realist movement was inspired by John Chipman Gray and Oliver Wendall Holmes and reached its apex in the 1920s and 30s through the work of Karl Llewellyn, Jerome Frank, and Felix Cohen. The realists eschewed the conceptual approach of the positivists and naturalists in favor of an empirical analysis that sought to show how practicing judges really decide cases.[94] The realists were deeply skeptical of the ascendant notion that judicial legislation is a rarity. While not entirely rejecting the idea that judges can be constrained by rules, the realists maintained that judges create new law through the exercise of lawmaking discretion considerably more often than is commonly supposed. On their view, judicial decision is guided far more frequently by political and moral intuitions

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[93] "Naturalistic Epistemology," by Chase B. Wrenn, *The Internet Encyclopedia of Philosophy*, ISSN 2161-0002, https://www.iep.utm.edu/, 1 March 2020; citing Hart 1994, p. 250

[94] "Naturalistic Epistemology," by Chase B. Wrenn, *The Internet Encyclopedia of Philosophy*, ISSN 2161-0002, https://www.iep.utm.edu/, 1 March 2020; see Leiter 1998

about the facts of the case (instead of by legal rules) than theories like positivism and naturalism acknowledge.[95]

As an historical matter, legal realism arose in response to legal formalism, a particular model of legal reasoning that assimilates legal reasoning to syllogistic reasoning. According to the formalist model, the legal outcome (that is, the holding) logically follows from the legal rule (major premise) and a statement of the relevant facts (minor premise). Realists believe that formalism understates judicial lawmaking abilities insofar as it represents legal outcomes as entailed syllogistically by applicable rules and facts. For if legal outcomes are logically implied by propositions that bind judges, it follows that judges lack legal authority to reach conflicting outcomes.[96]

From the modern realist school of jurisprudence, the end or purpose of the law remains social in nature for it is found in the society of the individual members that compose it. Justice Holmes in his Path of the Law, said that the life of the law has not been logic; it has been experience.[97]

It may not be amiss to recall to mind. however. the language of Justice Laurel in the leading case of *People vs. Vera*,[98] to the effect that the basic individual right of equal protection *"is a restraint on all the three grand departments of our government and on the subordinate instrumentalities and subdivisions thereof, and on many constitutional powers, like the police power, taxation and eminent domain."* Nonetheless, no jurist was more careful in avoiding the dire consequences to what the legislative body

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[95] "Naturalistic Epistemology," by Chase B. Wrenn, *The Internet Encyclopedia of Philosophy*, ISSN 2161-0002, https://www.iep.utm.edu/, 1 March 2020.

[96] "Naturalistic Epistemology," by Chase B. Wrenn, *The Internet Encyclopedia of Philosophy*, ISSN 2161-0002, https://www.iep.utm.edu/, 1 March 2020.

[97] Nitafan, David. Annotation: Justice (A Philosophical Perspective), 208 SCRA 617, May 08, 1992

[98] 65 Phil 56 (1937)

might have deemed necessary to promote the ends of public welfare if the equal protection guaranty were made to constitute an insurmountable obstacle.

A similar sense of realism was invariably displayed by Justice Frankfurter, as is quite evident from the various citations from his pen found in the majority opinion. For him, it would be a misreading of the equal protection clause to ignore actual conditions and settled practices. Not for him the at times academic and sterile approach to constitutional problems of this sort. Thus: *"It would be a narrow conception of jurisprudence to confine the notion of 'laws' to what is found written on the statute books, and to disregard the gloss which life has written upon it. Settled state practice cannot supplant constitutional guaranties, but it can establish what is state law. The Equal Protection Clause did not write an empty formalism into the Constitution. Deeply embedded traditional ways of carrying out state policy, such as those of which petitioner complains, are often tougher and truer law than the dead words of the written text."*[99] This too, from the same distinguished jurist: *"The Constitution does not require things which are different in fact or opinion to be treated in law as though they were the same."*[100]

Since under our Constitution, judicial review exists precisely to test the validity of executive or legislative acts in an appropriate legal proceeding, there is always the possibility of their being declared inoperative and void. Realism compels the acceptance of the thought that there could be a time-lag between the initiation of such Presidential or congressional exercise of power and the final declaration of nullity. In the meanwhile, it would be productive of confusion, perhaps at times even of chaos, if the parties affected were left free to speculate as to its fate being one of doom, thus leaving them free to disobey it in the meanwhile. Since, however, the orderly processes of government, not to mention common sense, requires that the presumption of validity be accorded an act of Congress or an

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[99] Nashville, C. & St. L. Railway vs. Browning, 84 L ed 1254, 1258 [1940]

[100] Gomez vs. Palomar, 25 SCRA 827 [1968]

order of the President, it would be less than fair, and it may be productive of injustice, if no notice of its existence as a fact be paid to it, even if thereafter, it is stricken down as contrary, in the case of Presidential act, either to the Constitution or a controlling statute. The far-reaching import in the above sense of the decision we now render calls, to my mind, for an articulation of further reflection on its varied implications. We have here an illustration, to paraphrase Dean Pound, of the law being stable and yet far from standing still. That is as it ought to be; that is how law grows. It is in that sense that the judicial process is impressed with creativity, admittedly within limits rather narrowly confined. That in itself is to hold fast to the appropriate role of the judiciary, far from insignificant as our decision discloses. Hence, this separate concurring opinion, which, I trust, will make manifest why my agreement with what Justice Castro ad so ably expressed in the opinion of the Court is wholehearted and entire.[101]

Nonetheless, a sense of realism compels the admission that at times the line has been wavering or blurred. This is only to recognize, as was pointed out by Justice Cardozo, that juridical conceptions are seldom, if ever, carried to the limit of their logic. For there are countervailing policy considerations. Often, they have a stronger claim to judicial approbation.[102]

Its terms must be construed in the context of the realities in the life of a nation it is intended to serve. Because experience may teach one generation to doubt the validity and efficacy of the concepts embodied in the existing Constitution and persuade another generation to abandon them entirely, heed should be paid to the wise counsel of some learned jurists that in the resolution of constitutional questions — like those posed before Us — the blending of idealism and practical wisdom or

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[101] Municipality of Malabang vs. Benito, 27 SCRA 533 [1969]

[102] The Philippine American Management & Financing Co., Inc. vs. Management & Supervisors Association of the Philippine-American Management & Financing Co., Inc., 48 SCRA 187 [1972]

progressive legal realism should be applied.[103] To Justice Frankfurter, law is a practical wisdom which legal thinkers prefer to identify as progressive legal realism. The national leader, who wields the powers of government, must and has to innovate if he must govern effectively to serve the supreme interests of the people. This is especially true in times of great crises where the need for a leader with vision, imagination, capacity for decision and courageous action is greater, to preserve the unity of people, to promote their well-being, and to insure the safety and stability of the Republic.[104] Then, too, it does not approach constitutional questions with dogmatism or apodictic certainty nor view them from the shining cliffs of perfection. This is not to say though that it is satisfied with an empiricism untroubled by the search for jural consistency and rational coherence. A balance has to be struck. So juridical realism requires. Once allowance made that for all its care and circumspection this Court manned by human beings fettered by fallibility, nonetheless earnestly and sincerely striving to do right, the public acceptance of its vigorous pursuit of the task of assuring that the Constitution be obeyed is easy to understand.

It would be to disregard the counsel of realism and to rely on the conjectural if on the above facts he would be denied exculpation. The test of rationality is not what a man should do under normal circumstances and with time for cool reflection present. It is rather how an individual in such dire situation, with the grim prospect of the loss of life, would react. The law wisely takes into consideration the well-nigh irresistible force of the instinct of self-preservation. This Court, from the previously cited case of *United States vs. Patala* promulgated in 1901, to *People vs. Boholst-Caballero*, a 1974 decision, has been steadfast and unwavering in its adherence to such a test of rationality. There is no justification for a departure from such a norm.[105]

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[103] See Alexander M. Bickel, the Supreme Court and the Idea of Progress, 1970 ed., pp. 19-21

[104] Javellana vs. The Executive Secretary, 50 SCRA 30 [1973]

[105] People vs. Artuz, 71 SCRA 116, May 26, 1976

There is, however, wisdom, as well as realism, in these words of Justice Frankfurter: *"The equality at which the 'equal protection' clause aims is not a disembodied equality. The Fourteenth Amendment enjoins 'the equal protection of the laws,' and laws are not abstract propositions. They do not relate to abstract units A, B and C, but are expressions of policy arising out of specific difficulties, addressed to the attainment of specific ends by the use of specific remedies. The Constitution does not require things which are different in fact or opinion to be treated in law as though they were the same."*[106]

The Path of Law

Stare decisis et non quieta movere. Stand by the decisions and disturb not what is settled.[107]

In each volume of *Supreme Court Reports Annotated (SCRA)*, Chief Justice Castro's preface cites the governing principle of precedents and *stare decisis "which has given consistency and stability to the law"* by which lawyers and litigants may know the law in concrete controverted cases, thus:[108]

> *"In his famous essay, the Path of the Law, Justice Oliver Wendell Holmes defined law as a prediction of what the court will do.*
>
> *"The prediction is based on precedents. The governing principle, which has given consistency and stability to the law, is stare decisis et non quieta movere (follow past precedents and do not disturb what has been settled).*
>
> *"The officials enforcing statutory law and regulations, the lawyers and litigants seeking to know the law in concrete*

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[106] Sison, Jr. vs. Ancheta, 130 SCRA 654, July 25, 1984 citing Tigner vs. Texas, 310 US 141, 147 [1940]

[107] De la Cruz vs. Court of Appeals, 305 SCRA 303, March 25, 1999

[108] Luzon Brokerage Co., Inc. vs. Maritime Building Co., Inc., 86 SCRA 305, November 16, 1978

controverted cases, and the judges in adversary litigations, should be well posted on precedents."

Such precedents and jurisprudence of this Court form part of our legal system by force of the provision of Article 8 of the new Civil Code that *"Judicial decisions applying or interpreting the laws or the Constitution shall form a part of the legal system of the Philippines"* and may not be lightly treated.[109]

Two centuries of American case law will confirm Prof. Consovoy's observation although stare decisis developed its own life in the United States. Two strains of stare decisis have been isolated by legal scholars. The first, known as vertical *stare decisis* deals with the duty of lower courts to apply the decisions of the higher courts to cases involving the same facts. The second, known as horizontal *stare decisis* requires that high courts must follow its own precedents. Prof. Consovoy correctly observes that vertical *stare decisis* has been viewed as an obligation, while horizontal *stare decisis,* has been viewed as a policy, imposing choice but not a command. Indeed, *stare decisis* is not one of the precepts set in stone in our Constitution.[110]

It is also instructive to distinguish the two kinds of horizontal *stare decisis* — constitutional *stare decisis* and statutory *stare decisis*. Constitutional *stare decisis* involves judicial interpretations of the Constitution while statutory *stare decisis* involves interpretations of statutes. The distinction is important for courts enjoy more flexibility in refusing to apply *stare decisis* in constitutional litigations. Justice Brandeis' view on the binding effect of the doctrine in constitutional litigations still holds sway today. In soothing prose, Brandeis stated: *"Stare decisis is not . . . a universal and inexorable command. The rule of stare decisis is not inflexible. Whether it shall be followed or departed from, is a question entirely within the discretion of the court, which is again*

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[109] Luzon Brokerage Co., Inc. vs. Maritime Building Co., Inc., 86 SCRA 305, November 16, 1978

[110] Lambino vs. Commission on Elections, 505 SCRA 160, October 25, 2006

called upon to consider a question once decided." In the same vein, the venerable Justice Frankfurter opined: *"the ultimate touchstone of constitutionality is the Constitution itself and not what we have said about it."* In contrast, the application of *stare decisis* on judicial interpretation of statutes is more inflexible. As Justice Stevens explains: *"after a statute has been construed, either by this Court or by a consistent course of decision by other federal judges and agencies, it acquires a meaning that should be as clear as if the judicial gloss had been drafted by the Congress itself."* This stance reflects both respect for Congress' role and the need to preserve the courts' limited resources.[111]

Reasons for Following and Refusing the Stare Decisis Rule. — In general, courts follow the *stare decisis* rule for an ensemble of reasons, *viz.:* (1) it legitimizes judicial institutions; (2) it promotes judicial economy; and, (3) it allows for predictability. Contrariwise, courts refuse to be bound by the *stare decisis* rule where (1) its application perpetuates illegitimate and unconstitutional holdings; (2) it cannot accommodate changing social and political understandings; (3) it leaves the power to overturn bad constitutional law solely in the hands of Congress; and, (4) activist judges can dictate the policy for future courts while judges that respect *stare decisis* are stuck agreeing with them.[112]

Finally — An examination of decisions on *stare decisis* in major countries will show that courts are agreed on the factors that should be considered before overturning prior rulings. These are workability, reliance, intervening developments in the law and changes in fact. In addition, courts put in the balance the following determinants: closeness of the voting, age of the prior decision and its merits. The leading case in deciding whether a court should follow the stare decisis rule in constitutional litigations is *Planned Parenthood vs. Casey.* It established a 4-pronged test. The court should (1) determine

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[111] Lambino vs. Commission on Elections, 505 SCRA 160, October 25, 2006

[112] Lambino vs. Commission on Elections, 505 SCRA 160, October 25, 2006

whether the rule has proved to be intolerable simply in defying practical workability; (2) consider whether the rule is subject to a kind of reliance that would lend a special hardship to the consequences of overruling and add inequity to the cost of repudiation; (3) determine whether related principles of law have so far developed as to have the old rule no more than a remnant of an abandoned doctrine; and, (4) find out whether facts have so changed or come to be seen differently, as to have robbed the old rule of significant application or justification.[113]

Bad Man Theory

According to USLegal — the Bad-man theory is a jurisprudential doctrine or belief, according to which a bad person's view of the law represents the best test of what exactly the law is because that person shall carefully and precisely calculate what the rules allow and operate up to the rules' limits. This theory is also known as prediction theory. This theory was first adopted by Oliver Wendell Holmes who mentioned that a society's legal system is defined by predicting how the law affects a person, as opposed to considering the ethics or morals underlying the law. Under this theory, the prediction is done by viewing the law in accordance with a bad man's point of view who is not bothered about morals. Such a person is unconcerned with acting morally. Instead, such a person would be concerned about the degree of punishments certain acts will incur by the public force of law.[114]

The first thing for a businesslike understanding of the matter is to understand its limits, and therefore I think it desirable at once to point out and dispel a confusion between morality and law, which sometimes rises to the height of conscious theory, and more often and indeed constantly is making trouble in detail without reaching the point of consciousness. You can see very plainly that a bad man has as

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[113] Lambino vs. Commission on Elections, 505 SCRA 160, October 25, 2006

[114] https://definitions.uslegal.com/b/bad-man-theory/ Accessed 1 March 2020.

much reason as a good one for wishing to avoid an encounter with the public force, and therefore you can see the practical importance of the distinction between morality and law. A man who cares nothing for an ethical rule which is believed and practised by his neighbors is likely nevertheless to care a good deal to avoid being made to pay money, and will want to keep out of jail if he can.[115]

I do not say that there is not a wider point of view from which the distinction between law and morals becomes of secondary or no importance, as all mathematical distinctions vanish in presence of the infinite. But I do say that that distinction is of the first importance for the object which we are here to consider — a right study and mastery of the law as a business with well understood limits, a body of dogma enclosed within definite lines. I have just shown the practical reason for saying so. If you want to know the law and nothing else, you must look at it as a bad man, who cares only for the material consequences which such knowledge enables him to predict, not as a good one, who finds his reasons for conduct, whether inside the law or outside of it, in the vaguer sanctions of conscience. The theoretical importance of the distinction is no less, if you would reason on your subject aright. The law is full of phraseology drawn from morals, and by the mere force of language continually invites us to pass from one domain to the other without perceiving it, as we are sure to do unless we have the boundary constantly before our minds. The law talks about rights, and duties, and malice, and intent, and negligence, and so forth, and nothing is easier, or, I may say, more common in legal reasoning, than to take these words in their moral sense, at some state of the argument, and so to drop into fallacy. For instance, when we speak of the rights of man in a moral sense, we mean to mark the limits of interference with individual freedom which we think are prescribed by conscience, or by our ideal, however reached. Yet it is certain that many laws have

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[115] Oliver Wendell Holmes, Jr., "The Path of the Law", 10 *Harvard Law Review* 457 (1897).

been enforced in the past, and it is likely that some are enforced now, which are condemned by the most en- lightened opinion of the time, or which at all events pass the limit of interference, as many consciences would draw it. Manifestly, therefore, nothing but confusion of thought can result from assuming that the rights of man in a moral sense are equally rights in the sense of the Constitution and the law. No doubt simple and extreme cases can be put of imaginable laws which the statute-making power would not dare to enact, even in the absence of written constitutional prohibitions, because the community would rise in rebellion and fight; and this gives some plausibility to the proposition that the law, if not a part of morality, is limited by it. But this limit of power is not coextensive with any system of morals. For the most part it falls far within the lines of any such system, and in some cases may extend beyond them, for reasons drawn from the habits of a particular people at a particular time. I once heard the late Professor Agassiz say that a German population would rise if you added two cents to the price of a glass of beer. A statute in such a case would be empty words, not because it was wrong, but because it could not be enforced. No one will deny that wrong statutes can be and are enforced, and we would not all agree as to which were the wrong ones.[116]

Legal Interpretivism

Interpretivism is a thesis about what determines legal rights and duties, *i.e.* what makes it the case that the law requires what it does. As such, it is a thesis about the nature of law. These questions can be formulated in terms of the grounds of propositions of law.[117]

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[116] Oliver Wendell Holmes, Jr., "The Path of the Law", 10 Harvard Law Review 457 (1897)

[117] Stavropoulos, Nicos, "Interpretivist Theories of Law", *The Stanford Encyclopedia of Philosophy (Fall 2008 Edition)*, Edward N. Zalta (ed.), URL = <https://plato.stanford.edu/archives/fall2008/entries/law-interpretivist/>. Accessed 1 March 2020

Interpretivism claims that values justify the precise kind of authority that different agents and institutions have and hence the precise way in which their decisions and other acts determine legal duties (including any specific cases in which it may turn out that that the values may dictate that the facts about authoritative decision-making alone determine our duties). Although the interpretivist accepts that propositions of law are founded on political decisions, *i.e.* that the content of the law is sensitive to what a political community historically decides; and he also accepts that, more abstractly, law is dependent upon certain political practices of a community, including legislation and adjudication; he further says that what makes these decisions and practices the grounds of propositions of law is the *normative* fact that it is good that they should be such grounds. The interpretivist says that it is in virtue of the fact that our rights and duties *ought* to flow from past political decisions that they flow from them; or that, more abstractly, legal duties *ought* to be determined by social practices that they do. And he thinks that they ought to be determined by such decisions and practices because doing so serves certain political virtues such as fairness and procedural justice. The interpretivist says that a fuller articulation of these virtues and of their connections with other political values would yield a more detailed account of the precise way in which the practices determine legal duties.[118]

In our predisposition to discover the "original intent" of a statute, courts become the unfeeling pillars of the status quo. Little do we realize that statutes or even constitutions are bundles of compromises thrown our way by their framers. Unless we exercise vigilance, the statute may already be out of tune and irrelevant to our day.

Call it what it may — but is there no conflict of legal policy here? Dollar against Peso? Upholding the final and executory judgment of the lower court against the Central Bank Circular protecting the foreign depositor? Shielding or protecting the dollar deposit of a transient alien depositor against

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[118] Stavropoulos, Nicos, "Interpretivist Theories of Law", *The Stanford Encyclopedia of Philosophy (Fall 2008 Edition)*, Edward N. Zalta (ed.), URL = <https://plato.stanford.edu/archives/fall2008/entries/law-interpretivist/>. Accessed 1 March 2020.

injustice to a national and victim of a crime? This situation calls for fairness against legal tyranny.

Salvacion vs. Central Bank of the Philippines[119]

Karen Salvacion, then 12 years old, was kidnapped and raped ten times by an American Tourist in The accused was arrested and detained however he was able to escaped from jail. In civil case for damages filed against the defendant American Tourist, the court, upon plaintiffs' application and filing of a bond, issued a writ of preliminary attachment. When the Sheriff served a Notice of Garnishment on China Bank against the foreign account of the accused-defendant, the bank invoked Section 113 of Central Bank Circular No. 960 prohibiting any attachment, execution, and other court processes against any foreign currency deposit. This view was corroborated by the Central Bank, applying philosophical theory on positivism (positivist approach). The lower court ruled in favor of the plaintiffs.

Can the court garnish the foreign account of the accused-defendant?

The High Court held in the affirmative.

The Supreme Court, in so ruling the case, applied the Interpretative Approach. The Court looks at the intent of the law. The Supreme Court pronounced the following words — *"In fine, the application of the law depends on the event of its justice. Eventually, if we rule that the questioned Section 113 of Central Bank Circular No. 960 which exempts from attachment, garnishment, or any other order or process of any court. Legislative body, government agency or any administrative body whatsoever, is applicable to a foreign transient, injustice would result especially to a citizen aggrieved by a foreign guest like accused Greg Bartelli. This would negate Article 10 of the New Civil Code which provides that "in case of doubt in the interpretation or application of laws, it is presumed that the lawmaking body intended right and justice to prevail".* Respondents were required to

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[119] 278 SCRA 27, August 21, 1997

comply with the writ of Execution and to release to petitioners the dollar deposit of accused respondent.

If Karen's sad fate had happened to anybody's own kin, it would be difficult for him to fathom how the incentive for foreign currency deposit could be more important than his child's rights to said award of damages; in this case, the victim's claim for damages from this alien who had the gall to wrong a child of tender years of a country where he is a mere visitor. This further illustrates the flaw in the questioned provisions.

But the realities of the present times show that the country has recovered economically; and even if not, the questioned law still denies those entitled to due process of law for being unreasonable and oppressive. The intention of the questioned law may be good when enacted. The law failed to anticipate the iniquitous effects producing outright injustice and inequality such as the case before us.[120]

It has thus been said that —

"But I also know,[121] *that laws and institutions must go hand in hand with the progress of the human mind. As that becomes more developed, more enlightened, as new discoveries are made, new truths are disclosed and manners and opinions change with the change of circumstances, institutions must advance also, and keep pace with the times . . . We might as well require a man to wear still the coat which fitted him when a boy, as civilized society to remain ever under the regimen of their barbarous ancestors."*[122]

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[120] Salvacion vs. Central Bank of the Philippines, 278 SCRA 27, August 21, 1997

[121] Salvacion vs. Central Bank of the Philippines, 278 SCRA 27, August 21, 1997; citing Thomas Jefferson, Democracy, ed. Saul K. Padover. (New York, Penguin, 1946) p. 171.

[122] Salvacion vs. Central Bank of the Philippines, 278 SCRA 27, August 21, 1997

Simply stated, when the statute is silent or ambiguous, this is one of those fundamental solutions that would respond to the vehement urge of conscience.[123]

"The article to be strictly construed. This article, in creating an exceptional jurisdiction over civilians, is to be strictly construed and confined to the classes specified. A civil offender who is not certainly within its terms cannot be subjected under it to a military trial in time of war with any more legality then he could be subjected to such a trial in time of peace. As held by the Judge Advocate General, the mere fact of employment by the Government within the theatre of war does not bring the person within the application of the article. In several cases of public employees brought to trial by court martial during the late war the convictions were disapproved on the ground that it did not appear that at the time of their offenses they were 'serving with the army' in the sense of this article."[124]

People vs. Acierto[125]

The accused was a court martial reporter in the Army of US in a regular salary basis but was later on changed to piece work arrangement. It was during the latter's time when the accused was said to have made false claims where he was charged with *Estafa* and Falsification of Documents. The accused plea guilty in the crime of *estafa* but not guilty in the Falsification cases. The general court martial ruled against him and sentence him of imprisonment. The Commanding General as reviewing authority disapproved the verdict upon the sole ground that the accused was not subject to military law and without prejudice to his trial before a proper tribunal. When he was brought to Quezon City for prosecution, the accused set up the plea of double jeopardy linked with the plea of want of jurisdiction.

Was the defendant an employee of the United States Army within the meaning of the United States Military Law?

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[123] Padilla vs. Padilla, 74 Phil. 377

[124] Referring to Article of War 2, paragraph 2[d]

[125] 92 Phil., 534 , January 30, 1953

No. He could not be considered as serving the Army.

In applying constructivist and interpretative approach, The Court observed that the defendant worked as he pleased and was not amenable to daily control and disciplines of the Army. When his status was changed, he ceased to be an integral part of the Army. As expressly indicate in the Military Law and Precedents, *"This article is to be strictly construed and confined to the classes specified. A civil offender who is not certainly within its terms cannot be subjected under it to a military trial in time of war with any more legality."*

By the Agreement, it should be noted, the Philippine Government merely consents that the United States exercise jurisdiction in certain cases. The consent was given purely as a matter of comity, courtesy, or expediency. The Philippine Government has not abdicated its sovereignty over the bases as part of the Philippine territory or divested itself completely of jurisdiction over offenses committed therein. Under the terms of the treaty, the United States Government has prior or preferential but not exclusive jurisdiction of such offenses. The Philippine Government retains not only jurisdictional rights not granted, but also all such ceded rights as the United States Military authorities for reasons of their own decline to make use of. The first proposition is implied from the fact of Philippine sovereignty over the bases; the second from the express provisions of the treaty. The treaty expressly stipulates that offenses included therein may be tried by the proper Philippine courts if for any special reason the United States waives its jurisdiction over them.[126]

The carrying out of the provisions of the Bases Agreement is the concern of the contracting parties alone. Whether, therefore, a given case which by the treaty comes within the United States jurisdiction should be transferred to the Philippine authorities is to a matter about which the accused has nothing to do or say. In other words, the rights granted to the United States

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[126] People vs. Acierto 92 Phil., 534 , January 30, 1953

by the treaty insure solely to that country and can not be raised by the offender.[127]

Pure Theory of Law

The idea of a Pure Theory of Law was propounded by the formidable Austrian jurist and philosopher Hans Kelsen (1881-1973). Kelsen began his long career as a legal theorist at the beginning of the 20th century. The traditional legal philosophies at the time, were, Kelsen claimed, hopelessly contaminated with political ideology and moralizing on the one hand, or with attempts to reduce the law to natural or social sciences, on the other hand. He found both of these reductionist endeavors seriously flawed. Instead, Kelsen suggested a 'pure' theory of law which would avoid reductionism of any kind. The jurisprudence Kelsen propounded *"characterizes itself as a 'pure' theory of law because it aims at cognition focused on the law alone"* and this purity serves as its *"basic methodological principle."*[128] Note that this anti-reductionism is both methodological and substantive. Kelsen firmly believed that if the law is to be considered as a unique normative practice, methodological reductionism should be avoided entirely. But this approach is not only a matter of method. Reductionism should be avoided because the law *is* a unique phenomenon, quite separate from morality and nature.[129]

The neo-positivist Hans Kelsen[130] proposed to seek only the *"real and possible"* justice (empirical) and not the *"ideal and ethical"* justice, which is to be found only in the politically

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[127] People vs. Acierto 92 Phil., 534 , January 30, 1953

[128] PT1, 7

[129] Marmor, Andrei, "The Pure Theory of Law", *The Stanford Encyclopedia of Philosophy (Fall 2008 Edition)*, Edward N. Zalta (ed.), URL = <https://plato.stanford.edu/archives/fall2008/entries/lawphil-theory/>. Accessed 1 March 2020.

[130] Professor of Law in the University of Vienna

organized society. According to him, following the paths of Aristotle, is that empirical justice is social contentment.[131]

Marmor further observes that — the law, according to Kelsen, is a system of norms. Norms are 'ought' statements, prescribing certain modes of conduct. Unlike moral norms, however, Kelsen maintained that legal norms are created by acts of will. They are products of deliberate human action. For instance, some people gather in a hall, speak, raise their hands, count them, and promulgate a string of words. These are actions and events taking place at a specific time and space. To say that what we have described here is the *enactment of a law,* is to *interpret* these actions and events by ascribing a normative significance to them. Kelsen, however, firmly believed in Hume's distinction between 'is' and 'ought', and in the impossibility of deriving 'ought' conclusions from factual premises alone. Thus Kelsen believed that the law, which is comprised of norms or 'ought' statements, cannot be reduced to those natural actions and events which give rise to it. The gathering, speaking and raising of hands, in itself, is not the law; legal norms are essentially 'ought' statements, and as such, they cannot be deduced from factual premises alone.[132]

From Nitafan's point of view, he notes that — from the functional or sociological school, with Montesquieu as its expounder, the theory is that the law is a living thing and that its development is interrelated with the social environment in which its grows including the morality, manners, politics, religion, and customs of the people.[133] Joseph Kohler, Eugene

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[131] Nitafan, David. Annotation: Justice (A Philosophical Perspective), 208 SCRA 617, May 08, 1992; citing Kelsen. The Pure Theory of Law and Analytical Jurisprudence, 55 Harvard Law Review ((1941), 44.

[132] Marmor, Andrei, "The Pure Theory of Law", *The Stanford Encyclopedia of Philosophy (Fall 2008 Edition)*, Edward N. Zalta (ed.), URL = <https://plato.stanford.edu/archives/fall2008/entries/lawphil-theory/>. Accessed 1 March 2020.

[133] Nitafan, David. Annotation: Justice (A Philosophical Perspective), 208 SCRA 617, May 08, 1992; citing The Spirit of Laws, Bk. I, c. i. (1718).

Ehrlich and Roscoe Pound were the adherents of this school, and they posit the theory law under the postulates of natural law is inadequate in the adjustment and balancing of interests of society which are *"the facts of the living law"*.[134] Interests of society is the highest good, even when they are not recognized by the government. Their objective is values common to all — the social interests. Adjustment of conflicting claims and interests of individuals must initially be attempted at the compromise table to minimize or prevention of further conflicts, and that balanced or compromised interests are more likely to remain in a state of social equilibrium, and thus more lasting and enduring. If compromise is not possible, the conflict must be submitted to the proper authority for decision, and a judgment that promotes many social interests is preferable to that which promotes only one.[135]

Recommended Individual or Group Reading and Reporting

The following legal articles, cases, SCRA annotations, news articles taken from various sources and internet sites may be used as a contextual backdrop for use in individual or group reports and discussions, whenever appropriate or applicable:

1. *Gomez vs. Palomar,* 25 SCRA 827 [1968];

2. *Municipality of Malabang vs. Benito,* 27 SCRA 533 [1969];

3. *The Philippine American Management & Financing vs. Management & Supervisors Association of the Philippine-American*

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[134] Nitafan, David. Annotation: Justice (A Philosophical Perspective), 208 SCRA 617, May 08, 1992; citing Fundamental Principles of the Sociology of Law, Moll Translation, Russel & Russel, New York (1936), 85, 192, 197, 388.

[135] Nitafan, David. Annotation: Justice (A Philosophical Perspective), 208 SCRA 617, May 08, 1992

Management & Financing, 48 SCRA 187 [1972];

4. *People vs. Artuz*, 71 SCRA 116, May 26, 1976;

5. *People vs. Ancheta*, 64 SCRA 90, May 19, 1975; and

6. *Republic of the Philippines vs. Sandiganbayan*, G.R. No. 104768, July 21, 2003.

CHAPTER 3
Law and Government

> *"Had there been a lunatic asylum in the suburbs of Jerusalem, Jesus Christ would infallibly have been shut up in it at the outset of his public career. That interview with Satan on a pinnacle of the Temple would alone have damned him, and everything that happened after could but have confirmed the diagnosis."*
>
> — ***Havelock Ellis***
> *The New Spirit*

Rudiments of a State

Aristotle begins the *Politics* by defining its subject, the city or political partnership. Doing so requires him to explain the purpose of the city.[136] Aristotle says that *"It is clear that all partnerships aim at some good, and that the partnership that is most authoritative of all and embraces all the others does so particularly, and aims at the most authoritative good of all. This is what is called the city or the political partnership".*[137] In Greece in Aristotle's time the important political entities were cities, which controlled surrounding territories that were farmed. It is important to remember that the city was not subordinate to a state or nation, the way that cities are today; it was sovereign over the territory

[136] The Greek word for city is polis, which is the word that gives us English words like "politics" and "policy"

[137] 1252a3; See also III.12

that it controlled. To convey this, some translations use the word *"city-state" in place of the world "polis."* Although none of us today lives in a polis , we should not be too quick to dismiss Aristotle's observations on the way of life of the polis as irrelevant to our own political partnerships.[138]

Notice that Aristotle does not define the political community in the way that we generally would, by the laws that it follows or by the group that holds power or as an entity controlling a particular territory. Instead he defines it as a partnership. The citizens of a political community are partners, and as with any other partnership they pursue a common good. In the case of the city it is the most authoritative or highest good. The most authoritative and highest good of all, for Aristotle, is the virtue and happiness of the citizens, and the purpose of the city is to make it possible for the citizens to achieve this virtue and happiness. When discussing the ideal city, he says *"A city is excellent, at any rate, by its citizens' — those sharing in the regime – being excellent; and in our case all the citizens share in the regime".*[139] In achieving the virtue that is individual excellence, each of them will fulfill his *telos*. Indeed, it is the shared pursuit of virtue that makes a city a city.[140]

A state is often defined as a community of persons, more or less numerous, permanently occupying a definite portion of territory, independent of external controls, and possessing a government to which a great body of inhabitants render habitual obedience. Thus, as to its elements, a state is usually composed of the following:

a) *People — Meaning of "people" in the Constitution,* it is not disputed that in a

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[138] "Naturalistic Epistemology," by Chase B. Wrenn, *The Internet Encyclopedia of Philosophy*, ISSN 2161-0002, https://www.iep.utm.edu/, Accessed 1 March 2020.

[139] 1332a34

[140] Naturalistic Epistemology," by Chase B. Wrenn, *The Internet Encyclopedia of Philosophy*, ISSN 2161-0002, https://www.iep.utm.edu/, Accessed 1 March 2020.

democracy sovereignty resides in the people. But the term *"people"* must be understood in its constitutional meaning, and they are *"those persons who are permitted by the Constitution to exercise the elective franchise."*[141] Inhabitants of the State, the number of which is capable for self-sufficiency and self-defense;

b) *Territory* — Fixed portion of the surface of the earth inhabited by the people of the State;

c) *Government* — Agency or instrumentality through which the will of State is formulated, expressed and realized;[142] and

d) *Sovereignty* — Ours is a democracy where sovereignty resides in the people whose sovereign will is expressed through the ballot. It is, therefore, of paramount public interest that the electoral dispute be settled;[143] Supreme and uncontrollable power inherent in a State by which that State is governed.

The Government claims that there was express malice. It is not apparent why, with such a claim, the Government did not prosecute the defendants for publishing the article itself, for, as we have said, it is infinitely worse in its details than the headlines.

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[141] Justice Zaldivar, Dissenting and concurring; Javellana vs. The Executive Secretary, 50 SCRA 30, March 31, 1973

[142] US vs. Dorr, 2 Phil. 332

[143] Defensor-Santiago vs. Ramos, 253 SCRA 559, February 13, 1996

The newspaper articles do not show any express malice, and any inference of that kind which could be drawn from them is, to my mind, overcome by the proof that the defendants did not know the person whom they are charged with having maliciously libeled.

United States vs. Dorr[144]

Respondents were alleged to have committed an offense of writing, publishing and circulating scurrilous libel against the Government of the U.S. and the Insular Government of the Philippine Islands in violation of Section 8, Act No. 292 of the Commission. The alleged libel was published in *"Manila Freedom"* issue dated 06 April 1902 as an editorial issue under the caption *"A few hard facts"*. The editorial is about the appointment of rascal natives (Filipinos) to important Government positions by the Civil Commission. The respondents were convicted of the said offense. The respondents appealed for reversal of judgment made by the lower court.

Was the Article published by the respondents in violation of Section 8 of the Act No. 292?

In holding in the negative, the High Court observed that — Act No. 292, Section 8 has provided modes for committing this offense. However, although the article has a virulent attack against the policy of the Civil Commission, the complaint in question cannot be regarded as having a tendency to produce anything like what may be called disaffection or a state of feeling incompatible with a disposition to remain loyal to the Government and obedient to the laws.

In modern political science, the term government is defined as *"the institution or aggregate of institutions by which an independent society makes and carries out those rules...xxx...the government is the aggregation of authorities which rule a society."*

On the other hand, the Sedition Act of 1798, the term 'government' is used in an abstract sense, meaning the existing political system. The Court opines that it is in

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[144] 2 Phil., 269, May 16, 1903

this sense that the term is used in the enactment under consideration.

In Act No. 292, the meaning of *"Insular of the Government of the Phil. Islands"* is the government as a system, however, the article in questions attacks the 'government' as the aggregate of public officials who run it. The Court ruled that the article in question contains no attack upon the *governmental system of the U.S., by* which the authority of the U.S. is enforced in these Islands *per se*. In this case, it is the character of men who are entrusted with the administration of the government which the writer wants to bring disrepute due to their motives, public integrity, and private morals and wisdoms of their policy. The publication does not constitute any seditious tendency being apparent to be in violation of Act No. 292.

The *newspaper articles do not show any express* malice, and any inference of that kind which could be drawn from them is, to my mind, overcome by the proof that the defendants did not know the person whom they are charged with having maliciously libeled.

The conclusion was reached that the act in question was not unconstitutional. In the consideration of the case an exhaustive review was made of the powers of Congress to govern the territories belonging to the United States, under the power to acquire territory by treaty and the incidental right to govern such territory, and under the clause of section 3, Article IV, of the Constitution, which vests Congress with the power to dispose of and make all needful rules and regulations respecting the territory or other property of the United States. This review was made in the light of the opinion of contemporaries, the practical construction placed upon the Constitution by Congress, and the decisions of the Supreme Court of the United States upon questions arising thereunder. Distinctions were found to exist in the application of the Constitution depending upon the relation which was borne to the National Government whether by a State or by the territories which belonged to certain States at the time of the adoption of the Constitution, and which were situated within the acknowledged limits of the

United States, and such territory as might be acquired by the establishment of a disputed line; or by those which were acquired by cession from foreign powers and to which the Constitution was extended by the treaty under which they were ceded, sanctioned by Congress, or to which the Constitution was expressly extended by Congressional act; or by those territories acquired from a foreign power by treaty, which have not been incorporated as a part of the United States nor to which has been extended the Constitution by act of Congress.[145]

On a related note — Aristotle defines the constitution as a way of organizing the offices of the city-state, particularly the sovereign office (III.6.1278b8-10; cf. IV.1.1289a15-18). The constitution thus defines the governing body, which takes different forms: for example, in a democracy it is the people, and in an oligarchy it is a select few (the wealthy or well born). Before attempting to distinguish and evaluate various constitutions Aristotle considers two questions. First, why does a city-state come into being? He recalls the thesis, defended in *Politics* I.2, that human beings are by nature political animals, who naturally want to live together.[146]

The State has the following functions:

a) *Constituent* — compulsory because constitutive of the very bonds of society; and

b) *Ministrant* — undertaken to advance the general interest of society.[147]

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[145] United States vs. Dorr, 2 Phil., 269, May 16, 1903

[146] Miller, Fred, "Aristotle's Political Theory", *The Stanford Encyclopedia of Philosophy (Fall 2008 Edition)*, Edward N. Zalta (ed.), URL = <https://plato.stanford.edu/archives/fall2008/entries/aristotle-politics/>. Accessed 1 March 2020.

[147] Bacani vs. NACOCO, 100 Phil. 468

To begin with, we state that the term *"Government"* may be defined as *"that institution or aggregate of institutions by which an independent society makes and carries out those rules of action which are necessary to enable men to live in a social state, or which are imposed upon the people forming that society by those who possess the power or authority of prescribing them."*[148] This institution, when referring to the national government, has reference to what our Constitution has established composed of three great departments, the legislative, executive, and the judicial, through which the powers and functions of government are exercised. These functions are twofold: constituent and ministrant. The former are those which constitute the very bonds of society and are compulsory in nature; the latter are those that are undertaken only by way of advancing the general interests of society, and are merely optional. President Wilson enumerates the constituent functions as follows:[149]

(1) The keeping of order and providing for the protection of persons and property from violence and robbery.

(2) The fixing of the legal relations between man and wife and between parents and children.

(3) The regulation of the holding, transmission, and interchange of property, and the determination of its liabilities for debt or for crime.

(4) The determination of contract rights between individuals.

(5) The definition and punishment of crime.

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[148] U.S. vs. Dorr, 2 Phil., 332

[149] Bacani and Matoto vs. Natl. Coconut Corp., et al., 100 Phil. 468, November 29, 1956

(6) The administration of justice in civil cases.

(7) The determination of the political duties, privileges, and relations of citizens.

(8) Dealings of the state with foreign powers: the preservation of the state from external danger or encroachment and the advancement of its international *interests.*[150]

It may not be amiss to state at this point that the functions of government have been classified into governmental or constituent and proprietary or ministrant.[151]

The most important of the ministrant functions are: public works, public education, public charity, health and safety regulations, and regulations of trade and industry. The principles determining whether or not a government shall exercise certain of these optional functions are:

(1) that a government should do for the public welfare those things which private capital would not naturally undertake, and

(2) that a government should do these things which by its very nature it is better equipped to administer for the public

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[150] Bacani and Matoto vs. Natl. Coconut Corp., et al., 100 Phil. 468, November 29, 1956; citing Malcolm, The Government of the Philippine Islands, p. 19.

[151] Shipside Incorporated vs. Court of Appeals, 352 SCRA 334, February 20, 2001

welfare than is any private individual or group of individuals.[152]

From the above we may infer that, strictly speaking, there are functions which our government is required to exercise to promote its objectives as expressed in our Constitution and which are exercised by it as an attribute of sovereignty, and those which it may exercise to promote merely the welfare, progress and prosperity of the people To this latter class belongs the organization of those corporations owned or controlled by the government to promote certain aspects of the economic life of our people such as the National Coconut Corporation. These are what we call government-owned or controlled corporations which may take on the form of a private enterprise or one organized with powers and formal characteristics of a private corporations under the Corporation Law.[153]

Doctrine of Parens Patriae

The term *parens patriae* has been defined as the inherent power and authority of the State, acting thru the legislature, to provide protection to persons and property of those non sui juris, such as minors, insane and incompetent persons. It means the State acting as parent or guardian of the country.[154]

The government is the corporate governmental entity through which the functions of government are exercised throughout the Philippines, including the various arms which

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[152] Bacani and Matoto vs. Natl. Coconut Corp., et al., 100 Phil. 468, November 29, 1956; citing Malcom, The Government of the Philippine Islands, pp. 19–20.

[153] Bacani and Matoto vs. Natl. Coconut Corp., et al., 100 Phil. 468, November 29, 1956

[154] Villanueva vs. CFI of Oriental Mindoro, 119 SCRA 288, December 15, 1982

political authority is made effective.[155] More importantly, the government as guardian of the rights of people.[156]

As an inherent attribute of sovereignty which virtually extends to all public needs, police power grants a wide panoply of instruments through which the State, as *parens patriae*, gives effect to a host of its regulatory powers.[157]

Duty of the State to protect those of tender years unable to take care of themselves. — The state, as *parens patriae,* is under the obligation to minimize the risk of harm to those, who, because of their minority, are as yet unable to take care of themselves fully. Those of tender years deserve its utmost protection. Moreover, the injury in cases of rape is not inflicted on the unfortunate victim alone. The consternation it causes her family must also be taken into account. It may reflect a failure to abide by the announced concern in the fundamental law for such institution.[158] It cannot be denied though that the State as *parens patriae* is called upon to manifest an attitude of caring for the welfare of the young.[159]

As to the State, the duty emanates from its role as parens patriae which holds it under obligation to provide protection and look after the welfare of its people especially those who cannot tend to themselves. Parens patriae means parent of his or her country, and refers to the State in its role as *"sovereign,"* or the State in its capacity as a provider of protection to those unable to care for themselves.[160]

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[155] Sec. 2 (1) Administrative Code of 1987

[156] Government of the Philippines Islands vs. Monte de Piedad, 35 SCRA 738

[157] Gerochi vs. Department of Energy, 527 SCRA 696, July 17, 2007

[158] People vs. Baylon, 57 SCRA 114, May 29, 1974

[159] Gonzales vs. Kalaw Katigbak, 137 SCRA 717, July 22, 1985

[160] Southern Luzon Drug Corporation vs. Department of Social Welfare and Development, 824 SCRA 164, April 25, 2017

Classification of Government

As to classification, a government is either *de jure* or *de facto*. A *de jure* government has a rightful title but no power or control, either, because same has been withdrawn from it or because same has not yet actually entered into the exercise thereof. A *de facto* government, on the other hand, actually exercises power or control but without legal title.[161]

It is a legal truism in political and international law that all acts and proceedings of the legislative, executive, and judicial departments of a *de facto* government are good and valid.[162]

There are several kinds of *de facto* governments. The first, or government *de facto* in a proper legal sense, is that government that gets possession and control of, or usurps, by force or by the voice of the majority, the rightful legal government and maintains itself against the will of the latter, such as the government of England under the Commonwealth, first by Parliament and later by Cromwell as Protector. The second is that which is established and maintained by military forces who invade and occupy a territory of the enemy in the course of war, and which is denominated a government of paramount force, as the cases of Castine, in Maine, which was reduced to British possession in the war of 1812, and of Tampico, Mexico, occupied during the war with Mexico, by the troops of the United States. And the third is that established as an independent government by the inhabitants of a country who rise in insurrection against the parent state, such as the

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[161] Lawyers League for a Better Philippines vs. Aquino, G.R. No. 73748, May 22, 1986

[162] Co Kim Cham vs. Valdez Tan Keh and Dizon, 75 Phil. 113, September 17, 1945

government of the Southern Confederacy in revolt against the Union during the war of secession.[163]

Who is the sovereign, *de jure* or *de facto*, of a territory is not a judicial, but a political, question, the determination of which by the legislative and executive departments of any government conclusively binds the judges, as well as all other officers, citizens and subjects, of that government. This principle has always been upheld by this court, and has been affirmed under a great variety of circumstances.[164] It is equally well settled in England.[165]

The distinguishing characteristics of the second kind of *de facto* government, more aptly denominated a government of paramount force, are (1), that its existence is maintained by active military power within the territories, and against the rightful authority of an established and lawful government; and (2), that while it exists it must necessarily be obeyed in civil matters by private citizens who, by acts of obedience rendered in submission to such force, do not become responsible, as wrongdoers, for those acts, though not warranted by the laws of the rightful government. Actual governments of this sort are established over districts differing greatly in extent and conditions. They are usually administered by military authority,

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[163] Co Kim Cham vs. Valdez Tan Keh and Dizon, 75 Phil. 113, September 17, 1945

[164] Gomez vs. Director of Prisons, 77 Phil. 458, October 02, 1946; citing Gelston vs. Hoyt, 16 U. S., 3 Wheat., 246, 324 [4:381; 4011; United States vs. Palmer, Id., 610 [471]; The Divina Pastora, 17 U. S., 4 Wheat., 52 [4:512]; Foster vs. Neilson, 27 U. S., 2 Pet, 253, 307, 309 [7:415, 433, 434]; Keene vs. M'Donough, 83 U. S., 8 Pet., 308 [8:955]; Garcia vs. Lee, 37 U. S., 12 Pet., 611, 520 [9:11761; Williams vs. Suffolk Ins. Co., 38 U. S., 13 Pet., 415 [10:226]; United States vs. Yorba, 68 U. S., 1 Wall., 412, 423 [17:635; 637]; United States vs. Lynde, 78 U. S., 11 Wall., 632, 638 [20:230, 232].

[165] Gomez vs. Director of Prisons, 77 Phil. 458, October 02, 1946; citing The Pelican, Edw. Adm. Appx. D; Taylor vs. Barclay, 2 Sim., 213; Emperor of Austria vs. Day, 3 DeG. F. & J., 217, 221, 233; Republic of Peru vs. Peruvian Guano Co., L. R., 36 Ch. Div., 489, 497; Republic of Peru vs. Dreyfus, L. R., 38 Ch. Div., 348, 356, 359.) (137 U. S., 213; 34 Law. ed., 696.

but they may be administered, also, by civil authority, supported more or less directly by military force.[166]

The powers and duties of *de facto* governments of this description are regulated in Section III of the Hague Conventions of 1907, which is a revision of the provisions of the Hague Conventions of 1899 on the same subject of Military Authority over Hostile Territory. Article 43 of said Section III provides that *"the authority of the legitimate power having actually passed into the hands of the occupant, the latter shall take all steps in his power to reestablish and issue, as far as possible, public order and safety, while respecting, unless absolutely prevented, the laws in force in the country."*[167]

Whether a purported government is *de jure* government of a state, and whether it is a representative form of government as granted to the States by the Constitution, are questions that must be left to the other branches of the national government to decide. They are political, not justiciable, questions.[168]

Inherent Powers of a State

The State has three (3) inherent powers. These are:

a) Police Power;

b) Power of Eminent Domain; and

c) Power of Taxation.

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[166] Co Kim Cham vs. Valdez Tan Keh and Dizon, 75 Phil. 113, September 17, 1945

[167] Co Kim Cham vs. Valdez Tan Keh and Dizon, 75 Phil. 113, September 17, 1945

[168] Coquia, Jorge. Annotation: The Plebiscite Cases — Political or Justiciable Issues?, 49 SCRA 180, January 22, 1973; citing Paul Freund, The Supreme Court of the United States, [1961], p. 147.

They are referred to as inherent powers of the state because they precede constitutions. In short, they are necessary in order for the state to survive and perpetuate its existence. What constitutions can do is merely to prescribe limitations as to its use.

Justice in its societal perspective refers generally to the valid exercise by the State of its three inherent prerogatives: police power, eminent domain and taxation. These great powers of Government have only one objective — self-preservation of society.[169]

Police Power

This is the power promoting public welfare by restraining and regulating the use of liberty and property law of overruling necessity. This power is usually exercised by the legislature but, in certain instances, it has also been exercised by the President; administrative bodies, and law-making bodies of Local Government Units.[170] No right is absolute, and the proper regulation of a profession, calling or business or trade has always been upheld as a legitimate subject of a valid exercise of the police power of the state particularly when their conduct affects the execution of legitimate governmental functions, the preservation of the State, public health and welfare and public morals.[171]

Police power, unlike the power of eminent domain, is exercised without provisions for just compensation. — Unlike the power of eminent domain,

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[169] Nitafan, David. Annotation: Justice (A Philosophical Perspective), 208 SCRA 617, May 08, 1992

[170] MERALCO vs. Chua 623 SCRA 81 , 2010; Espina vs. Zamora 631 SCRA 17, 2010; Tawang Multi-Purpose Cooperative vs. La Trinidad Water District, 646 SCRA 21, 2011; Guardians vs. Sandiganbayan, 650 SCRA 422, 2011; Rimando vs. Naguilian Emission Testing Center 677 SCRA 343, 2012; Sto. Tomas vs. Salac, 685 SCRA 245, 2012)

[171] Remman Enterprises vs. Professional Regulatory Board of Real Estate Service, 715 SCRA 293 [2014]

police power is exercised without provisions for just compensation: Art. 436. When any property is condemned or seized by competent authority in the interest of health, safety or security, the owner thereof shall not be entitled to compensation, unless he can show that such condemnation or seizure is unjustified. However, it may not be done arbitrarily or unreasonably. But the burden of showing that it is unjustified lies on the aggrieved party.

Sangalang vs. Intermediate Appellate Court[172]

Spouses Sanggalang, instituted a petition for prohibition and damages with preliminary injunction with the Respondent Court. Petitioner questioned the decision of the Mayor of Makati for the opening of Jupiter Street and Orbit Street in Bel Air Village for public use and alleged that they we're deprived of their right to due process, payment of just compensation and respondents acts are tantamount to grave abuse of discretion and in excess of jurisdiction.

On the other hand, respondent contended that Jupiter Street, was opened because public welfare demanded its opening. With respect to Orbit Street, they said that it is an act of police power. The Court ruled denying the petition filed by the Petitioner.

Can the Mayor of Makati validly opened Jupiter and Orbit Streets to vehicular traffic?

The High Court held in the affirmative.

The Mayor of Makati could validly opened Jupiter and Orbit Street even without payment of just compensation. The Court ruled that the opening of Jupiter Street was warranted by demands of common good. The act of Mayor is in line with police power in which, it consists of the imposition of restraint upon liberty and property in order to foster the common good. With regard to Orbit Street, Mayor could also validly opened it even without payment Of just compensation. It is an exercise of police power not of eminent domain. Art. 436 of the Civil Code, states that, when any property is condemned or seized by competent authority in the interest of health, safety or security, the owner thereof

[172] 176 SCRA 719, August 25, 1989

shall not be entitled to compensation, unless he can show that such condemnation or seizure is unjustified. However, it may not bed one arbitrarily or unreasonably. But the burden of showing that it is unjustified lies on the aggrieved party. In this case, the fact that it leads to the loss of privacy of the Bel-Air residents is no argument against the municipality's effort to ease traffic in Makati. And there was no showing that it was done arbitrarily.

What has been left unsaid is that the nation today is witnessing profound changes occurring in its midst. A decade ago, we were a people of forty or so million. Today, the number is knocking on sixty million. We are reaping the cost that population explosion carries with it. Housing the homeless has been one of the first casualties. And so has been the transport system. Giving the homeless homes and bringing them there safely is a formidable burden and the task of the hour. Parochial concerns can not be an impediment to the greater needs of the greatest number.

Unlike the power of eminent domain, police power is exercised without provision for just compensation:[173]

Art. 436. When any property is condemned or seized by competent authority in the interest of health, safety or security, the owner thereof shall not be entitled to compensation, unless he can show that such condemnation or seizure is unjustified.[174]

However, it may not be done arbitrarily or unreasonably.[175] But the burden of showing that it is unjustified lies on the aggrieved party.[176]

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[173] Sangalang vs. Intermediate Appellate Court, 176 SCRA 719, August 25, 1989

[174] CIVIL CODE, art. 436.

[175] Sangalang vs. Intermediate Appellate Court, 176 SCRA 719, August 25, 1989; citing PASEI vs. Drilon.

[176] Sangalang vs. Intermediate Appellate Court, 176 SCRA 719, August 25, 1989; citing Civil Code, Article 436.

Abatement of Nuisance; The Orbit gate may be legally abated by summary means considering that it is a public nuisance.—Other than BAVA's claims that the opening of Orbit Street led to the loss of privacy of BAVA residents, there is no showing that the Mayor, in carrying out the demolition of the Orbit gate, had acted is disregard of due process or, as the respondent court put it, with a "show of arrogance." As we said, the gate in question was a nuisance, which could have been legally abated by summary means. The fact that it was accomplished summarily does not lend to it a *"show of arrogance"* because, precisely, a summary method is allowed by law. In any event, there is a showing that the Mayor notified BAVA that Orbit (and Jupiter) Streets would be opened up. The Court finds that such a notice is compliance enough with due process.[177]

The exercise of police power by a local government council is valid unless it contravenes the fundamental law of the Philippine Islands, or an Act of the Phil. Legislature, or unless it is against public policy, or is unreasonable, oppressive, partial, discriminating, or in derogation of common right.[178]

The police power of the state has been described as the most essential insistent illimitable of powers which enables it to prohibit all things hurtful to the comfort, safety and welfare of society.[179]

Power of Eminent Domain

This is the power of the State to forcibly take private property for public use upon payment of just compensation. The right to compensation under Article III, Section 9 of the Constitution was put in place to protect the individual from and

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[177] Sangalang vs. Intermediate Appellate Court, 176 SCRA 719, August 25, 1989

[178] De la Cruz vs. Paras, 123 SCRA 569

[179] Lozano vs. Martinez, 146 SCRA 323

restrain the State's sovereign power of eminent domain, which is the government's power to condemn private properties within its territory for public use or purpose.[180] On one side we have the owners of the property to be expropriated who must be duly compensated for the loss of their property, while on the other is the State which must take the property for public use.[181]

Eminent domain inseparable from sovereignty; expropriation problem resolvable ultimately into constitutional question of due process of law; property owner under the 1935 and 1975 Constitutions entitled to payment of just compensation for property expropriated. — There is full and ample recognition of the power of eminent domain by Justice Street in a leading case of *Visayan Refining Co. vs. Camus* x x x It was characterized as *"inseparable from sovereignty being essential to the existence of the State and inherent in government even in its most primitive forms."* x x x Moreover, he did emphasize: Nevertheless it should be noted that the whole problem of expropriation is resolvable in its ultimate analysis into a constitutional question of due process of law. * * * Even were there no organic or constitutional provision in force requiring compensation to be paid, the seizure of one's property without payment, even though intended for a public use, would undoubtedly be held to be a taking without due process of law and a denial of the equal protection of the laws. x x x Conformably to such a fundamental principle then, in accordance with a constitutional mandate, this Court has never hesitated to assure that there be just compensation. If it were otherwise, the element of arbitrariness certainly would enter. It is bad enough that an owner of a property, in the event of the exercise of this sovereign prerogative, has no choice but to yield to such a taking. It is infinitely worse if thereafter, he is denied

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[180] Republic vs. Ortigas and Company, 717 SCRA 601 [2014]

[181] Filstream International Incorporated vs. Court of Appeals, 284 SCRA 716, January 23, 1998

all these years the payment to which he is entitled. This is one of the instances where law and morals speak to the same effect.[182]

When value of property expropriated be measured. — The owner of property expropriated by the State is entitled to how much it was worth at the time of the taking. This has been clarified in *Republic vs. PNB,*[183] thus: It is apparent from the foregoing that, when plaintiff takes possession before the institution of the condemnation proceedings, the value should be fixed as of the time of the taking of said possession, not of filing of the complaint, and that the latter should be the basis for the determination of the value, when the taking of the property involved coincides with or is subsequent to, the commencement of the proceedings. Indeed, otherwise, the provision of Rule 69, section 3, directing that compensation be determined as of the date of the filing of the complaint' would never be operative.[184]

Private property may be expropriated for public use upon payment of just compensation.[185]

Just compensation in this case means the equivalent for the value of the property at the time of the taking.[186] The owner of property expropriated is entitled to recover from the expropriating authority the fair and full value of the lot, as of the time when possession thereof was actually taken by the province, plus consequential damages — including attorney's fees — from which the consequential benefits, if any should be

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[182] Prov. of Pangasinan vs. CFI Judge of Pangasinan, Branch VIII, 80 SCRA 117, October 28, 1977

[183] 1 SCRA 957

[184] Municipality of La Carlota vs. The Spouses Felicidad Baltazar and Vicente Gan, 45 SCRA 235, May 30, 1972

[185] Republic vs. La Orden de PP. Benedictmos de Filipinas, 1 SCRA 646

[186] J. M. Tuason & Co. vs. Land Tenure Administration, 31 SCRA 413

deducted, with interest at the legal rate, on the aggregate sum due to the owner from and after the date of actual taking.[187]

Meaning of just compensation. — In two provisions, the Constitution makes it a condition for the taking or expropriation of private property that *"just compensation"* be paid. The first, which refers to the exercise of the general power of eminent domain, declares that: *"Private property shall not be taken for public use without just compensation."*[188] The second, which allows the taking of private property even if it is not for the use of the general public but for the benefit of only certain individuals, empowers Congress to *"authorize, upon payment of just compensation, the expropriation of lands to be subdivided into small lots and conveyed at cost to individuals."*[189]

What constitutes just compensation under these provisions? — The general rule is that the just compensation to which the owner of condemned property is entitled to its market value.[190] By market value is meant according to one definition, *"the price fixed by buyer and seller in the open market in the usual and ordinary course of legal trade and competition; the price and value of the article established or shown by sale, public or private, in the ordinary way of business; the fair value of the property as between one who desires to purchase and one who desires to sell; the current price; the general or ordinary price for which property may be bought and sold in that*

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[187] Capitol Subdivision, Inc. vs. Province of Negros Occ., 7 SCRA 60

[188] Bautista, Esteban. Annotation. Mateo vs. Lagua., 29 SCRA 864, October 30, 1969; citing Art. III, Sec. (2)

[189] Bautista, Esteban. Annotation. Mateo vs. Lagua., 29 SCRA 864, October 30, 1969; citing Art. XIII, Sec. 4

[190] Bautista, Esteban. Annotation. Mateo vs. Lagua., 29 SCRA 864, October 30, 1969; citing Manila, Railroad Co. vs. Fable, 17 Phil. 206; Tenorio vs. Manila Railroad Company, 22 Phil. 41; City of Manila vs. Estrada, 25 Phil. 208; City of Manila vs. Corrales, 32 Phil. 85; Manila Railroad Company vs. Velasquez, 32 Phil. 287, 314; Manila Railroad Company vs. Caligsihan, 40 Phil. 327; Manila Railroad Company vs. Mitchel, 49 Phil. 801; Municipality of Tarlac vs. Besa, 55 Phil. 423; Metropolitan Water District vs. Director of Lands, 57 Phil. 293

locality."[191] More aptly stated, it is *"that sum of money which a person, desirous but not compelled to buy, and an owner, willing but not compelled to sell, would agree on as a price to be given and received therefor"*; or the price which the property *"will bring when it is offered for sale 'by one who desires, but is not obliged to sell it, and is bought by one who is under 110 necessity of having it."*[192] Or, as another decision puts it: *"When we speak of the market value of .property taken under the power of eminent domain, we mean. the value which purchaser generally would pay for it. We do not mean what a purchaser would pay who had. no particular object in view in purchasing and no definite plan as to the use to which to put, The owner has a right to Its value for the use to which it would bring- the most in the market."*[193]

In the matter of the appraisal of the value of the property expropriated, where it is apparent that the consequential benefits to be derived by the owner as a result of the expropriation more than offset the consequential damages resulting therefrom, the owner should no longer be awarded the latter.[194]

The factors considered in evaluating the expropriated property are as follows:

(1) the value of other properties which in their nature are not similar to or are located far away from the property taken;

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[191] Bautista, Esteban. Annotation. Mateo vs. Lagua., 29 SCRA 864, October 30, 1969; citing Manila, Railroad Co. vs. Fabie, supra

[192] Bautista, Esteban. Annotation. Mateo vs. Lagua., 29 SCRA 864, October 30, 1969; citing City of Manila vs. Estrada, supra; Manila Railroad Company vs. Caligsihan, 40 Phil. 326

[193] Bautista, Esteban. Annotation. Mateo vs. Lagua., 29 SCRA 864, October 30, 1969; citing City of Manila vs. Corrales, supra

[194] Republic vs. PNB, L-14158, April 12, 1961

(2) the buying power of the tenants in whose favor the expropriation is made or the fact that the transaction would be exempt from income tax; or

(3) the price offered by the owners for the property by way of compromise to avoid protracted and expensive litigation and subject to the condition that the owners be allowed to retain a certain portion for their use.[195]

Likewise considered are the following:

(1) the prices of similar in adjacent areas as shown by sales made in the neighbourhood of the year of expropriation;

(2) the soil condition of the lands taken, together with their accessibility, improvement and climate; and

(3) the deeds of sale and the testimonial evidence submitted by both parties. The assessed value of expropriated property is only a prima facie evidence of its market value.[196]

The mere filing of condemnation proceedings for the benefit of tenants cannot, by itself, lawfully suspend the condemnee's dominical rights, whether of possession, enjoyment or disposition.[197]

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[195] Republic vs. Noble Lichauco, 14 SCRA 482

[196] City of Cebu vs. Ledesma, 14 SCRA 666

[197] J. M. Tuason & Co., Inc. vs. Court of Appeals, 3 SCRA 696

Expropriation; Two stages in every action for expropriation. — There are two stages in every action for expropriation. The first is concerned with the determination by the courts of the authority of the plaintiff to exercise the power of eminent domain and the propriety of its exercise in the context of the facts involved in the suit. The second phase is concerned with the determination by the court, with the assistance of commissioners, of the just compensation for the property sought to be taken which relates to the valuation thereof. The order fixing the just compensation on the basis of the evidence before, and findings of, the commissioners would be final and would dispose of the second stage of the suit, leaving nothing more to be done by the Court regarding the issue. During this stage, the main bone of contention is the valuation of the property concerned. The second stage which involves the issue of just compensation is as important, if not more, than the first stage which refers to the issue of *"public purpose."* But as it frequently happens, as in this case, the public purpose dimension is not as fiercely contested. Moreover, in their quest to secure what they believe to be the fair compensation of their property, the owners seek inroads to the leverages of executive power where compensation compromises are commenced and given imprimatur. In this dimension, the services of lawyers different from the ordinary litigator may prove to be handy or even necessary. Negotiations are mostly out of court and relies, for most part, on the sagacity, persuasion, patience, persistence and resourcefulness of the negotiator.[198]

In case improvements were introduced on expropriated property, evidence thereof and its value should be introduced, otherwise the owners are only entitled to indemnity in the amounts paid for the lands taken from them.[199] Where private property is acquired by the government and all that remains is the payment of the price, the owner's action to collect the price

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[198] Malonso vs. Principe, 447 SCRA 1, December 16, 2004

[199] National Power Corp. vs. Gatuangco, 18 SCRA 648

must be brought within 10 years, otherwise it would be barred by the statute of limitations.[200] The owner of property subject of the condemnation proceedings is obligated to remove or cancel any encumbrance on the property. It is but right for the government to acquire the property free from any encumbrance.[201]

Power of Taxation

This is the power by which State raises revenue to defray necessary expenses of the Government.

Purpose of taxation; Collection of taxes should be made in accordance with law. — Taxes are the lifeblood of the government and so should be collected without unnecessary hindrance. On the other hand, such collection should be made in accordance with law as any arbitrariness will negate the very reason for government itself. It is therefore necessary to reconcile the apparently conflicting interests of the authorities and the taxpayers so that the real purpose of taxation, which is the promotion of the common good, may be achieved.[202]

Notwithstanding some decisions to the contrary, to the effect that police power and the other State powers are limitations on the rights of the individual, which is a sweeping theory, the proper perspective is that the guarantees in the Bill of Rights were precisely intended to check the three great powers of Government, and not the other way around. What is just to the individual may in some way unjust to society, but if the injustice to society is not so rank as to go to its very foundation, and the individual right is clearly within the constitutional

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[200] Lopez vs. Auditor General, 20 SCRA 655

[201] Republic vs. PNB, 1 SCRA 957

[202] Commissioner of Internal Revenue vs. Algue, Inc., 158 SCRA 9, February 17, 1988

guarantees, the social injustice must give way to justice to the individual.[203]

Rationale of taxation. — It is said that taxes are what we pay for civilized society. Without taxes, the government would be paralyzed for lack of the motive power to activate and operate it. Hence, despite the natural reluctance to surrender part of one's hard-earned income to the taxing authorities, every person who is able to must contribute his share in the running of the government. The government, for its part, is expected to respond in the form of tangible and intangible benefits intended to improve the lives of the people and enhance their moral and material values, This symbiotic relationship is the rationale of taxation and should dispel the erroneous notion that it is an arbitrary method of exaction by those in the seat of power.[204]

Undoubtedly, during these financially difficult times, more taxes would be additionally burdensome to the citizenry. However, like a bitter pill, all Filipino citizens must bear the burden of these new taxes so as to raise the much-needed revenue for the ailing Philippine economy. Taxation is the indispensable and inevitable price for a civilized society, and without taxes, the government would be paralyzed.[205]

"Taxes are the lifeblood of the government and so should be collected without unnecessary hindrance. On the other hand, such collection should be made in accordance with law as any arbitrariness will negate the very reason for government itself. It is therefore necessary to reconcile the apparently conflicting interest of the

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[203] Nitafan, David. Annotation: Justice (A Philosophical Perspective), 208 SCRA 617, May 08, 1992

[204] Commissioner of Internal Revenue vs. Algue, Inc., 158 SCRA 9, February 17, 1988

[205] Abakada Guro Party List vs. Ermita, 469 SCRA 14, September 01, 2005

authorities and the taxpayers so that the real purpose of taxation, which is the promotion of common good, may be achieved."[206]

But even as we concede the inevitability and indispensability of taxation, it is a requirement in all democratic regimes that it be exercised reasonably and in accordance with the prescribed procedure. If it is not, then the taxpayer has a right to complain and the courts will then come to his succor. For all the awesome power of the tax collector, he may still be stopped in his tracks if the taxpayer can demonstrate, as it has here, that the law has not been observed.[207]

Sovereignty

Sovereignty resides in the people of the Philippines.[208]

Quite different from Aquinas, Locke emphasized that in any form of government, *"ultimate sovereignty rested in the people and all legitimate government was based on the consent of the governed."*[209]

It is the fundamental principle that sovereignty resides in the people with all government authority emanating from them. It speaks, to recall Cardozo, with a reverberating clang that drowns all weaker sounds.[210]

The doctrine of sovereign immunity is understood as a basic right extended to states by other states on the basis of

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[206] Commissioner of Internal Revenue vs. Philippine Global Communication, Inc 506 SCRA 427, October 31, 2006

[207] Commissioner of Internal Revenue vs. Algue, Inc., 158 SCRA 9, February 17, 1988

[208] Laurel vs. Misa, 77 Phil. 856, January 30, 1947

[209] Republic vs. Sandiganbayan, 407 SCRA 10, July 21, 2003

[210] Aquino, Jr. vs. Commission on Elections, 62 SCRA 275, January 31, 1975

respect for sovereignty and independence.[211] The question of sovereignty is *"a purely political question, the determination of which by the legislative and executive departments of any government conclusively binds the judges, as well as all other officer, citizens and subjects of the country."*[212]

The State has inherent and implied powers to defend its existence. — The right of a government to maintain its existence is the most pervasive aspect of sovereignty. To protect the nation's continued existence, from external as well as internal threats, the government *"is invested with all those inherent and implied powers which, at the time of adopting the Constitution, were generally considered to belong to every government as such, and as being essential to the exercise of its functions"*.[213]

Justice Laurel stressed its significance in words that even now possess the impress of validity. Thus: As long as popular government is an end to be achieved and safeguarded, suffrage, whatever may be the modality and form devised, must continue to be the means by which the great reservoir of power must be emptied into the receptacular agencies wrought by the people through their Constitution in the interest of good government and the common weal. Republicanism, in so far as it implies the adoption of a representative type of government, necessarily points to the enfranchised citizen as a particle of popular sovereignty and as the ultimate source of the established authority.[214] Ours is a democracy where sovereignty resides in the people whose sovereign will is expressed through the ballot.[215]

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[211] Arigo vs. Swift, 735 SCRA 102 [2014]

[212] Laurel vs. Misa, 77 Phil. 856, January 30, 1947

[213] Aquino, Jr. vs. Enrile, 59 SCRA 183, September 17, 1974; citing Mr. Justice Bradley, concurring in *Legal Tender Cases*, 12 Wall. 457, 554, 556, 20 L. ed. 287, 314, 315

[214] Lakas ng Bayan vs. Commission on Elections, 82 SCRA 196, March 25, 1978

[215] Defensor-Santiago vs. Ramos, 253 SCRA 559, February 13, 1996

State's power to tax, which is an attribute of sovereignty. And while the power to tax, if exercised without limit, is a power to destroy, and should, therefore, not be allowed in such form, it has to be equally recognized that the power to tax is an essential right of government. Without taxes, basic services to the people can come to a halt; economic progress will be stunted, and, in the long run, the people will suffer the pains of stagnation and retrogression.[216]

Par in parem imperium non habet.[217]

Although the question *"Who is the sovereign de jure or de facto of a territory"* is not a judicial but a political question, the determination of the question whether a government is *de facto* or *de jure,* which may be decided by the courts, does not necessarily involve the question of sovereignty. It is correct that a government established in a territory under a sovereign *de jure* is a government *de jure,* but it is not true that a government established in a territory under a sovereign *de jure* cannot be a government *de facto.* The three classes of governments *de facto* set forth in the decision of this court in the case of *Co Kim Cham vs. Valdez Tan Keh and Dizon,*[218] and recognized by all the publicist and decisions of the Supreme Court of the United States, are governments *de facto* established in a territory which continued under the same sovereign *de jure,* or in which there was no change of sovereignty.[219]

While sovereignty has traditionally been deemed absolute and all-encompassing on the domestic level, it is however subject to restrictions and limitations voluntarily agreed to by

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[216] Tolentino vs. Secretary of Finance, 235 SCRA 630, August 25, 1994

[217] An equal has no power over an equal. Jenk. Cent. Cas. 174.

[218] 75 Phil., 113

[219] Etorma vs. Ravelo and Director of Lands, 78 Phil. 145, March 24, 1947

the Philippines, expressly or impliedly, as a member of the family of nations.[220]

Act of State Doctrine; The act of state doctrine is one of the methods by which States prevent their national courts from deciding disputes which relate to the internal affairs of another State, the other two being immunity and non-justiciability. — It is an avoidance technique that is directly related to a State's obligation to respect the independence and equality of other States by not requiring them to submit to adjudication in a national court or to settlement of their disputes without their consent. It requires the forum court to exercise restraint in the adjudication of disputes relating to legislative or other governmental acts which a foreign State has performed within its territorial limits.[221]

The doctrine of state immunity and the exceptions thereto are summarized in *Shauf vs. Court of Appeals,*[222] thus: I. The rule that a state may not be sued without its consent, now expressed in Article XVI, Section 3, of the 1987 Constitution, is one of the generally accepted principles of international law that we have adopted as part of the law of our land under Article II, Section 2. This latter provision merely reiterates a policy earlier embodied in the 1935 and 1973 Constitutions and also intended to manifest our resolve to abide by the rules of the international community.[223]

International law is founded largely upon the principles of reciprocity, comity, independence, and equality of States which were adopted as part of the law of our land under Article II, Section 2 of the 1987 Constitution. The rule that a State may not be sued without its consent is a necessary consequence of the

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[220] Tañada vs. Angara, 272 SCRA 18 [1997]

[221] Presidential Commission on Good Government vs. Sandiganbayan, 530 SCRA 13, August 14, 2007

[222] 191 SCRA 713, 726-728 [1990]

[223] United States of America vs. Reyes, 219 SCRA 192, March 01, 1993

principles of independence and equality of States. As enunciated in *Sanders vs. Veridiano II*, the practical justification for the doctrine of sovereign immunity is that there can be no legal right against the authority that makes the law on which the right depends. In the case of foreign States, the rule is derived from the principle of the sovereign equality of States, as expressed in the maxim *par in parem non habet imperium*. All states are sovereign equals and cannot assert jurisdiction over one another. A contrary attitude would "*unduly vex the peace of nations.*"[224]

The rules of International Law, however, are neither unyielding nor impervious to change. The increasing need of sovereign States to enter into purely commercial activities remotely connected with the discharge of their governmental functions brought about a new concept of sovereign immunity. This concept, the restrictive theory, holds that the immunity of the sovereign is recognized only with regard to public acts or acts *jure imperii*, but not with regard to private acts or acts *jure gestionis*.[225]

The State is immune from suit in the sense that it cannot, as a rule, be sued without its consent.[226]

The practical justification for the doctrine, as Holmes put it, is that "*there can be no legal right against the authority which makes the law on which the right depends.*" In the case of foreign states, the rule is derived from the principle of the sovereign equality of states which wisely admonishes that *par in parem non habet imperium* and that a contrary attitude would "*unduly vex the peace of nations.*" Our adherence to this precept is formally expressed in Article II, Section 2, of our Constitution, where we reiterate from our previous charters that the Philippines "*adopts*

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[224] Republic of Indonesia vs. Vinzon, 405 SCRA 126, June 26, 2003

[225] Republic of Indonesia vs. Vinzon, 405 SCRA 126, June 26, 2003

[226] Republic vs. Sandiganbayan, 204 SCRA 212

the generally accepted principles of international law as part of the law of the land."[227]

This traditional rule of State immunity which exempts a State from being sued in the courts of another State without the former's consent or waiver has evolved into a restrictive doctrine which distinguishes sovereign and governmental acts (*jure imperii*) from private, commercial and proprietary acts (*jure gestionis*). Under the restrictive rule of State immunity, State immunity extends only to acts *jure imperii*. The restrictive application of State immunity is proper only when the proceedings arise out of commercial transactions of the foreign sovereign, its commercial activities or economic affairs.[228]

In one case, the High Court held — While in a qualified sense tenable, the dismissal by the Court of Appeals of the case as against Gen. Esperon and P/Dir. Gen. Razon is incorrect if viewed against the backdrop of the stated rationale underpinning the assailed decision *vis-à-vis* the two generals, *i.e.*, command responsibility. The Court assumes the latter stance owing to the fact that command responsibility, as a concept defined, developed, and applied under international law, has little, if at all, bearing in amparo proceedings. The evolution of the command responsibility doctrine finds its context in the development of laws of war and armed combats. According to Fr. Bernas, *"command responsibility,"* in its simplest terms, means the *"responsibility of commanders for crimes committed by subordinate members of the armed forces or other persons subject to their control in international wars or domestic conflict."* In this sense, command responsibility is properly a form of criminal complicity. The Hague Conventions of 1907 adopted the doctrine of command responsibility, foreshadowing the present-day precept of holding a superior accountable for the atrocities committed by his subordinates should he be remiss in his duty of control over them. As then formulated, command

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[227] Sanders vs. Veridiano II, 162 SCRA 88, June 10, 1988

[228] Arigo vs. Swift, 735 SCRA 102, September 16, 2014

responsibility is *"an omission mode of individual criminal liability,"* whereby the superior is made responsible for crimes committed by his subordinates for failing to prevent or punish the perpetrators (as opposed to crimes he ordered).[229]

The invocation of the doctrine of immunity from suit of a foreign state without its consent is appropriate. More specifically, insofar as alien armed forces is concerned, the starting point in *Raquiza vs. Bradford*, a 1945 decision. x x x The solidity of the stand of petitioner is therefore evident. What was sought by private respondent and what was granted by respondent Judge amounted to an interference with the performance of the duties of petitioner in the base area in accordance with the powers possessed by him under the Philippine-American Military Bases Agreement. This point was made clear in these words: *"Assuming, for purposes of argument, that the Philippine Government, through the Bureau of Forestry, possesses the 'authority to issue a Timber License to cut logs' inside a military base, the Bases Agreement subjects the exercise of rights under a timber license issued by the Philippine Government to the exercise by the United States of its rights, powers and authority of control within the bases; and the findings of the Mutual Defense Board, an agency of both the Philippine and United States Governments, that 'continued logging operation by Mr. Gener within the boundaries of the U.S. Naval Base would not be consistent with the security and operations of the Base,' is conclusive upon the respondent Judge. * * * The doctrine of state immunity is not limited to cases which would result in a pecuniary charge against the sovereign or would require the doing of an affirmative act by it. Prevention of a sovereign from doing an affirmative act pertaining directly and immediately to the most important public function of any government — the defense of the state — is equally as untenable as requiring it to do an affirmative act."* That such an appraisal is not opposed to the interpretation of the relevant treaty provision by our government is made clear in the aforesaid manifestation and memorandum as amicus

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[229] Rubrico vs. Macapagal-Arroyo, 613 SCRA 233, February 18, 2010

curiae, wherein it joined petitioner for the grant of the remedy prayed for.[230]

Statutory provisions waiving State immunity from suits are strictly construed and waiver of immunity, being in derogation of sovereignty, will not be lightly inferred.[231] The immunity of the State from suit cannot be invoked where the action is instituted by a person who is neither an enemy nor an ally of an enemy for the purpose of establishing his right, title or interest in a vested property, and of recovering his ownership and possession thereof.[232]

Legitimacy

Political questions are concerned with issues dependent upon the wisdom, not the legality, of a particular measure. — A political question refers to a question of policy or to issues which, under the Constitution, are to be decided by the people in their sovereign capacity, or in regard to which full discretionary authority has been delegated to the legislative or executive branch of the government. Generally, political questions are concerned with issues dependent upon the wisdom, not the legality, of a particular measure.[233]

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[230] Baer vs. Tizon, 57 SCRA 1, May 03, 1974

[231] Mobil Philippines Exploration vs. Customs Arrastre Service, 18 SCRA [1120]

[232] Bureau of Printing vs. Bureau of Printing Employees Ass'n., 1 SCRA 340; Philippine Resources Development Corporation vs. Republic, 13 SCRA 697; Mobil Philippines Exploration, Inc. vs. Customs Arrastre Service, 18 SCRA 1120; American Ins. Co. vs. Macondray & Co., Inc., 20 SCRA 1103; Equitable Ins. & Casualty Co., Inc. vs. Smith, Bell & Co., 20 SCRA 1121; Insurance Company of North America vs. Republic, 20 SCRA 1159; Champion Auto Supply Co., Inc. vs. Bureau of Customs, 21 SCRA 460; Hartford Fire Ins. Co. vs. Customs Arrastre Service, 21 SCRA 461; Insurance Company of North America vs. Republic, 21 SCRA 463; Union Insurance Society of Canton, Ltd. vs. Republic, 27 SCRA 445; Insurance Company of North America vs. Osaka Shosen Kaisha, 27 SCRA 780; Providence Washington Ins. Co. vs. Republic, 29 SCRA 598

[233] Tatad vs. Secretary of the Department of Energy, 281 SCRA 330, November 05, 1997

Lately, the Court has been perceived (albeit erroneously) to be an unwelcome interloper in affairs and concerns best left to legislators and policy-makers. Admittedly, the wisdom of political and economic decisions are outside the scrutiny of the Court. However, the political question doctrine is not some mantra that will automatically cloak executive orders and laws (or provisions thereof) with legitimacy. It is this Court's bounden duty under Sec. 4(2), Art. VIII of the 1987 Constitution to decide all cases involving the constitutionality of laws and under Sec. 1 of the same article, *"to determine whether or not there has been a grave abuse of discretion amounting to lack or excess of jurisdiction on the part of any branch or instrumentality of the Government."*[234]

A department of the Government cannot "recognize" its own acts. — Then again, a given department of the Government cannot generally be said to have *"recognized" its own* acts. Recognition normally connotes the acknowledgment by a party of the acts of another. Accordingly, when a subordinate officer or office of the Government complies with the commands of a superior officer or office, under whose supervision and control he or it is, the former merely *obeys* the latter. Strictly speaking, and from a legal and constitutional viewpoint, there is no act of recognition involved therein. Indeed, the lower officer or office, if he or it acted otherwise, would just be guilty of insubordination.[235]

Also — individual acts of recognition by members of our legislature, as well as of other collegiate bodies under the government, are invalid as acts of said legislature or bodies, unless its members have performed said acts in *session duly assembled,* or unless the law provides otherwise, and there is no such law in the Philippines. This is a well-established principle

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[234] Justice Kapunan, Separate Opinion; Tatad vs. Secretary of the Department of Energy, 281 SCRA 330, November 05, 1997

[235] Chief Justice Concepcion, Dissenting Opinion; Javellana vs. The Executive Secretary, 50 SCRA 30, March 31, 1973

of Administrative Law and of the Law of Public Officers, and no plausible reason has been adduced to warrant departure therefrom.[236]

As to the legitimacy of the Aquino government — Chief Justice Claudio Teehankee aptly provides the narrative on the birth pains of the administration of then President Corazon Aquino post-EDSA — On March 2, 1986, or a week after President Aquino was installed in office, she issued Proclamation No. 2, and declared that the *"Filipino people have established a new government bound to the ideals of genuine liberty and freedom for all."* On March 25, 1986, by Proclamation No. 3, she scrapped the *"unratified 1973 Constitution"* of then President Marcos and did away with the Batasang Pambansa whose *"KBL majority debased our politics."*[237]

Still, President Corazon Aquino's new government was a revolutionary one and need not have observed democratic norms and constitutional processes. Still, in Proclamation No. 3, she assured the People that the government *"will respect the basic human rights and fundamental freedoms,"* while "completely reorganizing the government and eradicating unjust and oppressive structures and all the iniquitous vestiges of the previous regime," pending the people's approval of the new Constitution.[238]

The character and legitimacy of the provisional Aquino Government was early on challenged in the Supreme Court. It

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[236] Chief Justice Concepcion, Dissenting Opinion; Javellana vs. The Executive Secretary, 50 SCRA 30, March 31, 1973

[237] The Task Ahead" Address delivered by Chief Justice Claudio Teehankee for the new lawyers at the oathtaking ceremonies for the successful 1986 bar candidates at the plenary hall of the Philippine International Convention Center on May 29, 1987. 150 SCRA xi,

[238] The Task Ahead" Address delivered by Chief Justice Claudio Teehankee for the new lawyers at the oathtaking ceremonies for the successful 1986 bar candidates at the plenary hall of the Philippine International Convention Center on May 29, 1987. 150 SCRA xi,

ruled that there could be no question as to its being a *de jure* government, in effective control of the country's territory, military and other instrumentalities and enjoying the recognition of the international community of nations. All the eleven members of the Supreme Court as reorganized, had sworn to uphold the fundamental law of the Republic under President Corazon C. Aquino' s government.[239]

In previous cases, the legitimacy of the government of President Corazon C. Aquino was likewise sought to be questioned with the claim that it was not established pursuant to the 1973 Constitution.[240] The said cases were dismissed outright by this court which held that:

> *"Petitioners have no personality to sue and their petitions state no cause of action. For the legitimacy of the Aquino government is not a justiciable matter. It belongs to the realm of politics where only the people of the Philippines are the judge. And the people have made the judgment; they have accepted the government of President Corazon C. Aquino which is in effective control of the entire country so that it is not merely a de facto government but in fact and law a de jure government. Moreover, the community of nations has recognized the legitimacy of the present government. All the eleven members of this Court, as reorganized, have sworn to uphold the fundamental law of the Republic under her government."*[241]

For the above-quoted reasons, which are fully applicable to the petition at bar, *mutatis mutandis,* there can be no question

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[239] The Task Ahead* Address delivered by Chief Justice Claudio Teehankee for the new lawyers at the oathtaking ceremonies for the successful 1986 bar candidates at the plenary hall of the Philippine International Convention Center on May 29, 1987. 150 SCRA xi,

[240] In Re: Saturnino V. Bermudez, 145 SCRA 160, October 24, 1986

[241] Joint Resolution of May 22, 1986 in G.R, No. 73748, Lawyers League for a Better Philippines, etc. vs. President Corazon C. Aquino, et al.; G.R. No. 73972. People's Crusade for Supremacy of the Constitution, etc. vs. Mrs. Cory Aquino, et al.; and G.R. No. 73990, Councilor Clifton U. Ganay vs. CorazonC. Aquino, *et* al.

that President Corazon C. Aquino and Vice-President Salvador H. Laurel are the incumbent and legitimate President and Vice-President of the Republic of the Philippines.[242]

The resulting government following the EDSA Revolution in February 1986 was indisputably a revolutionary government bound by no constitution or legal limitations except treaty obligations that the revolutionary government , as the de jure government in the Philippines, assumed under international law.[243]

Constitutionalism and Constitutional Supremacy

A constitution is the fundamental law of the land.

Jurisprudence tells us that the Constitution is a definition of the powers of government[244] — the five (5) major powers being delegated to the congress, to the president, to the judiciary, to the constitutional commissions and to the local government units. It is an instrument that espouses and declares our sovereignty, our form and structure of government and our rights.

Some one has said that the powers of the legislative department of the Government, like the boundaries of the ocean, are unlimited. In constitutional governments, however, as well as governments acting under delegated authority, the powers of each of the departments of the same are limited and confined within the four walls of the constitution or the charter, and each department can only exercise such powers as are expressly given and such other powers as are necessarily implied from the given powers. The constitution is the shore of legislative authority

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[242] In Re: Saturnino V. Bermudez, 145 SCRA 160, October 24, 1986

[243] Republic vs. Sandiganbayan, 407 SCRA 10.

[244] Angara vs. Electoral Commission; G.R. No. 45081. July 15, 1936

against which the waves of legislative enactment may dash, but over which they cannot leap.[245]

In *Angara vs. Electoral Commission*[246], the Supreme Court had the occasion to declare that our constitution has adopted the American type of constitutional government.

It declared that —

> *"Discarding the English type and other European types of constitutional government, the framers of our Constitution adopted the American type where the written constitution is interpreted and given effect by the judicial department. In some countries which have declined to follow the American example, provisions have been inserted in their constitutions prohibiting the courts from exercising the power to interpret the fundamental law. This is taken as a recognition of what otherwise would be the rule that in the absence of direct prohibition courts are bound to assume what is logically their function.*
>
> *For instance, the Constitution of Poland of 1921, expressly provides that courts shall have no power to examine the validity of statutes.*[247] *The former Austrian Constitution contained a similar declaration. In countries whose constitutions are silent in this respect, courts have assumed this power.*
>
> *This is true in Norway, Greece, Australia and South Africa. Whereas, in Czechoslovakia*[248] *and Spain*[249] *especial constitutional courts are established to pass upon the validity of ordinary laws."*

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[245] Government of the Philippine Islands vs. Springer; G.R. No. 26979. April 1, 1927

[246] G.R. No. 45081. July 15, 1936

[247] *article 81, chapter IV*

[248] *arts. 2 and 3, Preliminary Law to Constitutional Charter of the Czechoslovak Republic, February 29, 1920*

[249] *arts 121-123, Title IX, Constitution of the Republic of 1931*

It has been defined as the organic and fundamental law of a nation or state which may be written or unwritten, establishing the character and conceptual underpinnings of its government, laying the basic principles to which its internal life is to be conformed, organizing the government and regulating, distributing and limiting the functions of its different departments and prescribing the extent and manner of the exercise of sovereign powers.[250] In other words, it states the general principles and framework of the law and government.

If we were to equate a country to a corporate entity, it would be apropos to say that a constitution is akin to a corporation's Articles of Incorporation and By-Laws since it delineates corporate powers and functions as well as prescribe the qualifications, rights and duties of its corporate officers. In the same vein, note that some jurisdictions refer to a constitution as a nation's fundamental charter.

Kilosbayan vs. Guingona[251]

> Petitioner Kilosbayan, Incorporated (KILOSBAYAN) is a non-stock domestic corporation composed of civic-spirited citizens, pastors, priests, nuns, and lay leaders who are committed to the cause of truth, justice, and national renewal. The petitioners are suing in their capacities as members of the Board of Trustees of KILOSBAYAN and members of the Congress and as taxpayers and concerned citizens.
>
> They are seeking a special civil action for prohibition and injunction, with a prayer for a temporary restraining order and preliminary injunction to prohibit and restrained the implementation of the *"contract of lease"* executed by Philippine Charity Sweepstakes Office (PCSO) and Philippine Gaming Management Corporation (PGMC) in connection with the on-line lottery system, also known as *"lotto"*.

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[250] Black's Law Dictionary

[251] 232 SCRA 110

It has been defined as the organic and fundamental law of a nation or state which may be written or unwritten, establishing the character and conceptual underpinnings of its government, laying the basic principles to which its internal life is to be conformed, organizing the government and regulating, distributing and limiting the functions of its different departments and prescribing the extent and manner of the exercise of sovereign powers.[250] In other words, it states the general principles and framework of the law and government.

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Sometimes before March 1993, after learning that PCSO was interested in operating an on-line lottery system, the Berya Group Berhad, a company in Malaysia, became interested to offer its services and resources to PCSO. They organized with PGMC was intended to be the medium through which the technical and management services required for the project would be offered and delivered to PCSO. PCSO issued a request for proposal for the lease contract of the lottery system. The Office of the President announced that it had given the respondent PGMC the go-signal to operate the country's on-line lottery system and that the corresponding implementing contract would be submitted not later than 8 November 1993. KILOSBAYAN sent an open letter to Pres. Ramos strongly opposing the setting up to the on-line lottery system on the basis of serious moral and ethical considerations.

Later on, the contract of lease was executed by PCSO and PGMC. Petitioners claim that the assailed contract violates Sec. 1(B) of R.A. no. 1169 amended by BP blg. 42, which prohibits the PCSO from holding and conducting charity sweepstakes races, lotteries and other similar activities *"in collaboration, association or joint venture"* with any person, association, company or entity, foreign or domestic. PGMC is 75% foreign-owned/ controlled corporation and cannot, therefore, be granted a franchise for that purpose because Sec. 11, Art. XII of the Constitution.

Respondent PGMC asserts that *"(1) [it] is merely an independent contractor for a piece of work and as such independent contractor, PGMC is not a co-operator of the lottery franchise with PCSO, nor is PCSO sharing its franchise. Respondents maintain that the contract of lease in question does not violate Section 1 of R.A. No. 1169, as amended by B.P. Blg. 42, and that the petitioner's interpretation of the phrase "in collaboration, association or joint venture"* in Section 1 is *"much too narrow, strained and utterly devoid of logic"* for it *"ignores the reality that PCSO, as a corporate entity, is vested with the basic and essential prerogative to enter into all kinds of transactions or contracts as may be necessary for the attainment of its purposes and objectives."*

Did the Contract of Lease violate or contravene the exception in Section 1 of Republic Act No. 1169, as amended by B.P. Blg. 42, which prohibits the PCSO from holding and conducting lotteries "in collaboration, association or joint venture with" another?

The High Court agreed with the petitioners that it does, notwithstanding its denomination or designation as a Contract of Lease. A careful analysis and evaluation of the provisions of the contract and a consideration of the contemporaneous acts of the PCSO and PGMC indubitably disclose that the contract is not in reality a contract of lease under which the PGMC is merely an independent contractor for a piece of work, but one where the statutorily proscribed collaboration or association, in the least, or joint venture, at the most, exists between the contracting parties.

Collaboration is defined as the acts of working together in a joint project. Association means the act of a number of persons in uniting together for some special purpose or business. Joint venture is defined as an association of persons or companies jointly undertaking some commercial enterprise; generally all contribute assets and share risks. It requires a community of interest in the performance of the subject matter, a right to direct and govern the policy in connection therewith, and duty, which may be altered by agreement to share both in profit and losses.

The so-called Contract of Lease is not, therefore, what it purports to be. Its denomination as such is a crafty device, carefully conceived, to provide a built-in defense in the event that the agreement is questioned as violation of the exception in Section 1 (B) of the PCSO's charter. The acuity or skill of its draftsmen to accomplish that purpose easily manifests itself in the Contract of Lease. It is outstanding for its careful and meticulous drafting designed to give an immediate impression that it is a contract of lease.

Yet, woven therein are provisions which negate its title and betray the true intention of the parties to be in or to have a joint venture for a period of eight years in the

> operation and maintenance of the on-line lottery system. We thus declare that the challenged Contract of Lease violates the exception provided for in paragraph B, Section 1 of Republic Act No. 1169, as amended by B.P. Blg. 42, and is, therefore, invalid for being contrary to law.

Accordingly, the High Court also observed that — a second factor of high relevance is the presence of a clear case of disregard of a constitutional or statutory prohibition by the public respondent agency or instrumentality of the government. A showing that a constitutional or legal provision is patently being disregarded by the agency or instrumentality whose act is being assailed, can scarcely be disregarded by court. The concept of *locus standi* — which is part and parcel of the broader notion of ripeness of the case — *"does not operate independently and is not alone decisive. x x x [I]t is in substantial part a function of a judge's estimate of the merits of the constitutional [or legal] issue."*[252] The notion of *locus standi* and the judge's conclusions about the merits of the case, in other words, interact with each other. Where the Court perceives a serious issue of violation of some constitutional or statutory limitation, it will be much less difficult for the Court to find *locus standi* in the petitioner and to confront the legal or constitutional issue. In the present case, the majority of the Court considers that a very substantial showing has been made that the Contract of Lease between the PCSO and the PGMC flies in the face of legal limitations.[253]

On another note — it has been the consistent view that as a fundamental law, the constitution must be comprehensive in scope, brief in form and clear or definite in language.

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[252] Concurring Opinion, Justice Feliciano; Kilosbayan, Incorporated vs. Guingona, Jr., 232 SCRA 110, May 05, 1994; citing A.M. Bickel, The Least Dangerous Branch: The Supreme Court at the Bar of Politics, 169 (1962); brackets supplied.

[253] Kilosbayan, Incorporated vs. Guingona, Jr., 232 SCRA 110, May 05, 1994

Anent to this is the principle that the words used in the fundamental law must be given their ordinary meaning[254] under the plain meaning rule, except where technical terms are employed. As declared by the Supreme Court in a very old case — *the intent of the Legislature to be ascertained and enforced is the intent expressed in the words of the statute. If legislative intent is not expressed in some appropriate manner, legislative intent is not expressed in some appropriate manner, the courts cannot by interpretation speculate as to an intent and supply a meaning not found in the phraseology of the law. In other words, the courts cannot assume some purpose in no way expressed and then construe the statute to accomplish this supposed intention.*[255] The ascertainment of the meaning of the provisions of the Constitution begins with the language of the document itself, the words to be understood, as much as possible, in the sense they have in common use and given their ordinary meaning — the Constitution is not primarily a lawyer's document but essentially that of the people.[256]

And when ambiguity is present in the phraseology — the intent[257] of the framers of the constitution must be considered,[258] conscience and equity should always be considered in the construction of statutes. The courts are not to be hedged in by the literal meaning of the language of the statute; the spirit and intendment thereof must prevail over its letter. This rule of construction is especially applicable where adherence to the letter of the statute would result in absurdity and injustice.[259]

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[254] *verba legis*

[255] Regalado vs. Yulo; G.R. No. 42935. February 15, 1935.

[256] Tecson vs. COMELEC, 424 SCRA 277

[257] *ratio legis et anima*

[258] Francisco vs. House of Representatives; GR 160261; 10 November 2003

[259] Casela vs. CA; G.R. No. L-26754. October 16, 1970

A constitution is not to be interpreted as demanding the impossible or the impracticable — and unreasonable or absurd consequences, if possible should be avoided — courts are not to give words a meaning that would lead to absurd or unreasonable consequences and literal interpretation is to be rejected if it would be unjust or lead to absurd results.[260] Finally, the fundamental law must be understood and interpreted in its entirety — as a whole.[261]

As to its principal purpose, the constitution serves to prescribe the permanent framework of government as well as to assign to the various departments their respective powers and duties. Further, it also serves to establish fixed principles upon which the government is founded or based with the end in view of promoting the public good or welfare.

A constitution is a system of fundamental laws for the governance and administration of a nation—it is supreme, imperious, absolute and unalterable except by the authority from which it emanates. Since the Constitution is the fundamental, paramount and supreme law of the nation, it is deemed written in every statute and contract. — We now resolve. A constitution is a system of fundamental laws for the governance and administration of a nation. It is supreme, imperious, absolute and unalterable except by the authority from which it emanates. It has been defined as the fundamental and paramount law of the nation. It prescribes the permanent framework of a system of government, assigns to the different departments their respective powers and duties, and establishes certain fixed principles on which government is founded. The fundamental conception in other words is that it is a supreme law to which all other laws must conform and in accordance with which all private rights must be determined and all public authority administered. Under the doctrine of constitutional supremacy, if a law or contract violates any norm of the constitution that law or contract whether promulgated by the legislative or by the executive branch or entered into by private persons for private purposes is null and void and without any force and effect. Thus, since the Constitution is the fundamental, paramount and supreme law of the nation, it is deemed written in every statute and contract.

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[260] La Bugal-B'Laan Tribal Association, Inc. vs. Ramos, 421 SCRA 148

[261] *ut magis valeat quam pereat*

Manila Prince Hotel vs GSIS[262]

The case is about the sale of the shares of the historic Manila Hotel. Pursuant to the privatization program of the government, the Government Service Insurance System (GSIS) decided to sell 30-51% of the Manila Hotel Corporation. Two bidders participated, Manila Prince Hotel (MPH) and the Malaysian Firm Renong Berhad (RB). MPH's bid was at P41.58/per share while RB's bid was at Php 44.00/share. RB was the highest bidder hence it was logically considered as the winning bidder but is yet to be declared so. Pending declaration, MPH matches RB's bid and invoked the Filipino First Policy enshrined under par. 2, Sec. 10, Art. XII of the 1987 Constitution.

But GSIS refused to accept said offer. In turn MPH filed a petition for TRO against GSIS to avoid the perfection/consummation of the sale to RB. TRO was granted.

Renong Berhad then assailed the TRO issued in favor of MPH arguing among others that:

1. Par. 2, Sec. 10, Art. XII of the 1987 Constitution needs an implementing law because it is merely a statement of principle and policy (not self-executing);

2. Even if said passage is self-executing, Manila Hotel does not fall under national patrimony.

Should RB be admitted as the highest bidder and hence be proclaimed as the legit buyer of shares.?

No. MPH should be awarded the sale pursuant to Art 12 of the 1987 Const. This is in light of the Filipino First Policy. Par. 2, Sec. 10, Art. 12 of the 1987 Constitution is self executing. *The Constitution is the fundamental, paramount and supreme law of the nation, it is deemed written in every statute and contract. Manila Hotel*

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[262] 267 SCRA 408, February 03, 1997

falls under national patrimony. Patrimony in its plain and ordinary meaning pertains to heritage.

It should be stressed that while the Malaysian firm offered the higher bid it is not yet the winning bidder. The bidding rules expressly provide that the highest bidder shall only be declared the winning bidder after it has negotiated and executed the necessary contracts, and secured the requisite approvals. Since the *Filipino First Policy* provision of the Constitution bestows preference on *qualified Filipinos* the mere tending of the highest bid is not an assurance that the highest bidder will be declared the winning bidder. Resultantly, respondents are not bound to make the award yet, nor are they under obligation to enter into one with the highest bidder. For in choosing the awardee respondents are mandated to abide by the dictates of the 1987 Constitution the provisions of which are presumed to be known to all the bidders and other interested parties.

Adhering to the doctrine of constitutional supremacy, the Filipino First Policy constitutional provision is, as it should be, impliedly written in the bidding rules issued by GSIS, lest the bidding rules be nullified for being violative of the Constitution. — Adhering to the doctrine of constitutional supremacy, the subject constitutional provision is, as it should be, impliedly written in the bidding rules issued by respondent GSIS, lest the bidding rules be nullified for being violative of the Constitution. It is a basic principle in constitutional law that all laws and contracts must conform with the fundamental law of the land. Those which violate the Constitution lose their reason for being.[263]

Rule of Law

Ours is a government of laws, and not of men.

In a government of laws, the rule should be law with justice, not justice in accordance with law, for the law (the jural law) may itself be unjust, tested by the standards of super and

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263 Manila Prince Hotel vs. Government Service Insurance System, 267 SCRA 408, February 03, 1997

supra positive laws. And justice must be that conception of right and wrong consistent with the inherent nature of man as a rational being.[264]

The Rules of Court mandates that after an adjudication of guilt, the judge should impose "the proper penalty and civil liability provided for by the law on the accused." This is not a case of a magistrate ignorant of the law. This is a case in which a judge, fully aware of the appropriate provisions of the law, refuses to impose a penalty to which he disagrees. In so doing, respondent judge acted without or in excess of his jurisdiction or with grave abuse of discretion amounting to a lack of jurisdiction in imposing the penalty of Reclusion Perpetua where the law clearly imposes the penalty of Death.

People vs. Veneracion[265]

On January 31, 1995, Henry Petilla and Ernesto Maristela were found guilty beyond reasonable doubt of the crime of Rape with Homicide and both accused were sentenced with the penalty of reclusion perpetua with accessory penalties. Such decision was contested by the City Prosecutor of Manila in a Motion for Reconsideration praying that the penalty of death be imposed. The judge that rendered the decision, Hon. Veneracion, denied the merits of the motion for lack of jurisdiction.

Did Judge Veneracion have the discretion to impose a lesser penalty than that imposed by law?

No. Clearly, under the law, the penalty imposable for the crime of Rape with Homicide is not *Reclusion Perpetua* but Death. The law mandates that after an adjudication of guilt, the judge should impose the proper penalty provided for by the law on the accused regardless of his own religious or moral beliefs. Thus, in the present case, the judge must impose the death penalty. This is consistent in the rule laid down in the Civil Code which provides that no judge or court shall

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[264] Nitafan, David. Annotation: Justice (A Philosophical Perspective), 208 SCRA 617, May 08, 1992

[265] 249 SCRA 244 , October 12, 1995

decline to render judgment by reason of the silence, obscurity, or insufficiency of the laws.

The law plainly and unequivocably provides that "when by reason or on the occasion of rape, a homicide is committed, the penalty shall be death." — Under the law, the penalty imposable for the crime of Rape with Homicide is not *Reclusion Perpetua* but Death. While Republic Act 7659 punishes cases of ordinary rape with the penalty of *Reclusion Perpetua*, it allows judges the discretion — depending on the existence of circumstances modifying the offense committed—to impose the penalty of either *Reclusion Perpetua only* in the three instances mentioned therein. Rape with homicide is not one of these three instances. The law plainly and unequivocably provides that *"when by reason or on the occasion of rape, a homicide is committed, the penalty shall be death"* The provision leaves no room for the exercise of discretion on the part of the trial judge to impose a penalty under the circumstances described, other than a sentence of death.[266]

Rule of Law: Man has yet to invent a better hatchery of justice than the courts, a hatchery where justice will bloom only when we can prevent the roots of reason to be blown away by the winds of rage — the flame of the rule of law cannot be ignited by rage, especially the rage of the mob which is the mother of unfairness. — Man has yet to invent a better hatchery of justice than the courts. It is a hatchery where justice will bloom only when we can prevent the roots of reason to be blown away by the winds of rage. The flame of the rule of law cannot be ignited by rage, especially the rage of the mob which is the mother of unfairness. The business of courts in rendering justice is to be fair and they can pass their litmus test only when they can be fair to him who is momentarily the most hated by society.[267]

The annals of juridical history fail to reveal a case quite as remarkable as the one which this application for habeas corpus submits for decision. While hardly to be expected to be met with in this modern epoch of triumphant

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[266] People vs. Veneracion 249 SCRA 244 , October 12, 1995

[267] Echegaray vs. Secretary of Justice 301 SCRA 96 , January 19, 1999

democracy, yet, after all, the cause presents no great difficulty if there is kept in the forefront of our minds the basic principles of popular government,. and if we give expression to the paramount purpose for which the courts, as an independent power of such a government, were constituted. The primary question is—Shall the judiciary permit a government of men instead of a government of laws to be set up in the Philippine Islands ?

Villavicencio vs. Lukban[268]

As narrated by the *ponente* — Justice Malcolm — the Mayor of the city of Manila, Justo Lukban, for the best of all reasons, to exterminate vice, ordered the segregated district for women of ill repute, which had been permitted for a number of years in the city of Manila, closed. Between October 16 and October 25, 1918, the women were kept confined to their houses in the district by the police.

Presumably, during this period, the city authorities quietly perfected arrangements with the Bureau of Labor for sending the women to Davao, Mindanao, as laborers; with some government office for the use of the coastguard cutters Corregidor and Negros, and with the Constabulary for a guard of soldiers,. At any rate, about midnight of October 25, the police, acting pursuant to orders from the chief of police, Anton Hohmann and the Mayor of the city of Manila, Justo Lukban, descended upon the houses, hustled some 170 inmates into patrol wagons, and placed them aboard the steamers that awaited their arrival.

The women were given no opportunity to collect their belongings, and apparently were under the impression that they were being taken to a police station for an investigation. They had no knowledge that they were destined for a life in Mindanao. They had not been asked if they wished to depart from that region and had neither directly nor indirectly given their consent to the deportation. The involuntary guests were received on board the steamers by a representative of the Bureau of Labor and a detachment of Constabulary soldiers. The two steamers with their unwilling passengers sailed for Davao during the night of October 25.

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[268] 39 Phil., 778 , March 25, 1919

One fact, and one fact only, need be recalled—these one hundred and seventy women were isolated from society, and then at night, without their consent and without any opportunity to consult with friends or to defend their rights, were forcibly hustled on board steamers for transportation to regions unknown. Despite the feeble attempt to prove that the women left voluntarily and gladly; that such was not the case is shown by the mere fact that the presence of the police and the constabulary was deemed necessary and that these officers of the law chose the shades of night to cloak their secret and stealthy acts. Indeed, this is a fact impossible to refute and practically admitted by the respondents.

With this situation, a court would next expect to resolve the question — *By authority of what law did the Mayor and the Chief of Police presume to act in deporting by duress these persons from Manila to another distant locality within the Philippine Islands?*

The High Court held — Consider for a moment what an agreement with such a defense would mean. The chief executive of any municipality in the Philippines could forcibly and illegally take a private citizen and place him beyond the boundaries of the municipality, and then, when called upon to defend his official action, could calmly fold his hands and claim that the person was under no restraint and that he, the official, had no jurisdiction over this other municipality. We believe the true principle should be that, if the respondent is within the jurisdiction of the court and has it in his power to obey the order of the court and thus to undo the wrong that he has inflicted, he should be compelled to do so. Even if the party to whom the writ is addressed has illegally parted with the custody of a person before the application for the writ is no reason why the writ should not issue. If the mayor and the chief of police, acting under no authority of law, could deport these women from the city of Manila to Davao, these same officials must necessarily have the same means to return them from Davao to Manila. The respondents, within the reach of process, may not be permitted to restrain a fellow citizen of her liberty by forcing her to change her

> domicile and to avow the act with impunity in the courts, while the person who has lost her birthright of liberty has no effective recourse. The great writ of liberty may not thus be easily evaded.
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> The power to punish for contempt of court should be exercised on the preservative and not on the vindictive principle. Only occasionally should the court invoke its inherent power in order to retain that respect without which the administration of justice must falter or fail. Nevertheless when one is commanded to produce a certain person and does not do so, and does not offer a valid excuse, a court must, to vindicate its authority, adjudge the respondent to be guilty of contempt, and must order him either imprisoned or fined. An officer's failure to produce the body of a person in obedience to a writ of habeas corpus when he has power to do so, is a contempt committed in the face of the court.[269]

Law defines power. Centuries ago Magna Charta decreed that — *"No freeman shall be taken, or imprisoned, or be disseized of his freehold, or liberties, or free customs, or be outlawed, or exiled, or any other wise destroyed; nor will we pass upon him nor condemn him, but by lawful judgment of his peers or by the law of the land. We will sell to no man, we will not deny or def er to any man either justice or right."*[270] No official, no matter how high, is above the law. The courts are the forum which functionate to safeguard individual liberty and to punish official transgressors. *"The law,"* said Justice Miller, delivering the opinion of the Supreme Court of the United States, *"is the only supreme power in our system of government, and every man who by accepting office participates in its functions is only the more strongly bound to submit to that supremacy, and to observe the limitations which it imposes upon the exercise of the authority which it gives."*[271] *"The very idea,"* said Justice Matthews of the same high tribunal in another case, *"that one man may be compelled to hold his life, or the means of living, or any material right*

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[269] Ex parte Sterns [1888], 77 Cal., 156; In re Patterson [1888], 99 N. C., 407.

[270] Magna Charta, 9 Hen., 111, 1225, Cap. 29; 1 Eng. Stat. at Large, 7.

[271] U. S. *vs.* Lee [1882], 106 U. S., 196, 220.

essential to the enjoyment of life, at the mere will of another, seems to be intolerable in any country where freedom prevails, as being the essence of slavery itself."[272] All this explains the motive in issuing the writ of habeas corpus, and makes clear why we said in the very beginning that the primary question was whether the courts should permit a government of men or a government of laws to be established in the Philippine Islands.[273]

As to the matter of administrative issuances or those purposively made in implementing laws — the High Court held that — it is no less a valid law. It is an administrative regulation germane to the objects and purposes of the law. A rule shaped out by jurisprudence is that when Congress authorizes the promulgation of administrative rules and regulations to implement a given legislation, *"all that is required is that the regulation should be germane to the objects and purposes of the law ; that the regulation be not in contradiction with it, but conform to the standards that the law prescribes."*[274]

Administrative regulations or *"subordinate legislation"* calculated to promote the public interest are necessary because of *"the growing complexity of modern life, the multiplication of the subjects of governmental regulations, and the increased difficulty of administering the law."*[275]

All that is required is that the regulation should be germane to the objects and purposes of the law; that the regulation be not in contradiction to but in conformity with the standards prescribed by the law.[276]

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[272] Yick Wo vs. Hopkins [1886], 118 U. S., 356, 370.

[273] Villavicencio vs. Lukban. 39 Phil., 778 , March 25, 1919

[274] Director of Forestry vs. Muñoz, 23 SCRA 1183, June 28, 1968

[275] People vs. Maceren, 79 SCRA 450, October 18, 1977

[276] The Conference of Maritime Manning Agencies, Inc. vs. Philippine Overseas Employment Administration, 243 SCRA 666, April 21, 1995

Republicanism

A *Republic* is that form of government in which the administration of affairs is open to all the citizens.[277]

Republicanism; Of all the organic laws of our country, the 1987 Constitution holds most sacrosanct the people's role in governance — the word *"democratic"* was added to *"republican"* in Article II, Section 1 of the Constitution as a *"pardonable redundancy"* to highlight the importance of the people's role in government.[278]

Republicanism, in so far as it implies the adoption of a representative type of government, necessarily points to the enfranchised citizen as a particle of popular sovereignty and as the ultimate source of the established authority.[279]

Thus, it has been said that a republican system is premised on democratic ideals. It is nothing more than a government of laws and not of men — no person is therefore above the law.

Government derives its just powers front consent of governed. — Believing as I do that the opportunity of the people to give expression to their views is implicit in the fundamental principle that sovereignty resides in them, I am unable to find sufficient merit in this petition. For all its logical and plausible aspect, it still does not admit of doubt, in my mind at least, that a conclusion different from that reached by this Court would be attended by deplorable consequences. For one thing, it would impress with the stigma of illegality the viable procedure that under the stern realities of the present is the only one in the

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[277] *Ibid.*

[278] Akbayan Citizens Action Party ("AKBAYAN") vs. Aquino, 558 SCRA 468, July 16, 2008

[279] Antonio, Jr. vs. Commission on Elections, 32 SCRA 319, April 17, 1970

courts have to deal with the necessities of their time, the ideal should remain untarnished.[285]

Public Accountability

Public office is a public trust. Public officers and employees must at all times be accountable to the people, serve them with utmost responsibility, integrity, loyalty, and efficiency, act with patriotism and justice, and lead modest lives.

This principle has been oft-repeated by the constitutional court in a long line of cases and the exhortation still applies specially today, as stated in one of its decisions:

> *"Time and again we have stressed that all those involved in the administration of justice must faithfully adhere to, hold inviolate, and invigorate the oft-stated principle that a public office is a public trust; that all public officers and employees must at all times be accountable to the people, and perform their duties responsibly with the care and diligence that the nature of those duties demands."*[286]

A public servant is expected to exhibit, at all time, the highest degree of honesty and integrity and should be made accountable to all those whom he serves.[287]

Section 3, Article IX-B of the 1987 Constitution describes the Civil Service Commission as the central personnel agency of the government and is principally mandated to establish a career service and adopt measures to promote morale, efficiency, integrity, responsiveness, progressiveness, and courtesy in the civil service; to strengthen the merit and rewards system; to integrate all human resources development programs for all

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[285] Aquino, Jr. vs. Commission on Elections, 62 SCRA 275, January 31, 1975

[286] Field Financial Operations Division vs. Lucio; A.M. No. P-96-1206. June 11, 1996

[287] In re: Felipe Kalalo; A.M. No. 95-7-65-MTCC. May 15, 1996.

levels and ranks; and to institutionalize a management climate conducive to public accountability.[288]

As it is oft-repeated, a public office is a public trust and the conduct and behavior of all those involved in the administration of justice — from the presiding judge to the lowliest utility worker — should be circumscribed with the heavy burden of responsibility, accountability, integrity, uprightness and honesty.[289]

Democracy

Democracy is defined as that form of government in which the sovereign power resides in and is exercised by the whole body of free citizens directly or indirectly through a system of representation, as distinguished from a monarchy, aristocracy, or oligarchy.[290]

The Philippines is a democratic and republican State. Sovereignty resides in the people and all government authority emanates from them. Republicanism simply means that the state derives all its powers directly or indirectly from the people, administered by persons in a representative capacity for a limited period or during good behaviour.

Democracy, as a way of life enshrined in the Constitution, embraces as its necessary components freedom of conscience, freedom of expression, and freedom in the pursuit of happiness. Along with these freedoms are included economic freedom and freedom of enterprise within reasonable bounds and under proper control.

Guido vs. Rural Progress Administration[291]

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[288] Funa vs. Duque III, 742 SCRA 166 [2014]

[289] Villanueva vs. Milan, 390 SCRA 17, September 27, 2002

[290] Black's Law Dictionary, Centennial Edition

[291] 84 Phil. 847

This case involved a case of expropriation of two adjoining lots of petitioner, partly commercial, with a combined area of 22,655 sq.m, situated in Rizal, wherein it prohibits respondent with the said proceeding because the said land sought to be expropriated is commercial.

Is the land sought to be expropriated commercial and therefore excluded within the purview of the provisions of Act 539?

The petition has merit. The condemnation of a small property in behalf of small amount of persons and their families does not inure to the benefit of the public to a degree sufficient to give the use public character. It is devoid of any consideration of public health, public peace and order, or other public advantage. The reason is that, she acquired it by sweat and sacrifice for her and her family's security, and sell it at a cost to a few lessees who refuse to pay the stipulated rent or leave the premises, and no fixed line of demarcation between what taking is for public use and what is not can be made. The court finds no reason why the respondent could not take by condemnation an urban lot containing an area of around a thousand sq.m. or two for subdivision into tiny lots for resale to its occupants or those who want to build thereon.

In paving the way for the breaking up of existing large estates, trusts in perpetuity, feudalism, and their concomitant evils, the Constitution did not propose to destroy or undermine property rights, or to advocate equal distribution of wealth, or to authorize the taking of what is in excess of one's personal needs and the giving of it to another. The Constitution realizes the indispensable role which property, owned in reasonable quantities and used legitimately, plays in the stimulation to economic effort and the formation and growth of a solid social middle class that is said to be the bulwark of democracy and the backbone of every progressive and happy country.

Finally, the High Court declared that — the promotion of social justice ordained by the Constitution does not supply paramount basis for untrammelled expropriation of private land

by the Rural Progress Administration or any other government instrumentality. Social justice does not champion division of property or equality of economic status; what it and the Constitution do guaranty are equality of opportunity, equality of political rights, equality before the law, equality between values given and received, and equitable sharing of the social and material goods on the basis of efforts exerted in their production.[292]

On another note — the current climate of activism of the young people, recognized to be worldwide, whether on or off campus, is a phenomenon in this country that commands attention. Demonstrations and boycotts which are manifestations of such activism are constitutionally protected. But there are limits. A fundamental precondition to the exercise of such rights, we perceive, is that the activity should nob impair the rights of others whose roots are as deep and as equally protected by iron-clad guarantees. A high regard to a man's dignity is the hallmark of our law.[293]

Recommended Individual or Group Reading and Reporting

The following legal articles, cases, SCRA annotations, news articles taken from various sources and internet sites may be used as a contextual backdrop for use in individual or group reports and discussions, whenever appropriate or applicable:

1. *Tecson vs. Salas, 34 SCRA 275 [1970];*

2. *Francisco vs. Nagmamalasakit na mga Manananggol ng mga Manggagawang Pilipino,* 415 SCRA 44 [2003;

3. *Estrada vs. Desierto,* 353 SCRA 452 [2001;

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[292] Guido vs. Rural Progress Administration, 84 Phil. 847, October 31, 1949

[293] Sta. Maria vs. Lopez, 31 SCRA 637, February 18, 1970

4. *Villavicencio vs. Lukban, 39 Phil 778;*

5. *Government of Philippine Islands vs. Springer,* 50 Phil. 259;

6. *Teves vs. Commission on Elections,* 90 Phil 370;

7. *Manila Prince Hotel vs. GSIS,* G.R. No. 122156 [1997];

8. *People vs. Rosenthal,* 68 Phil. 328;

9. *In re: Almacen,* 31 SCRA 562;

10. *Kilosbayan vs. Guingona,* 232 SCRA 110;

11. *Guido vs. Rural Progress Administration,* 84 Phil. 847;

12. *People vs. Veneracion,* 249 SCRA 244; and

13. *Naval vs. Commission on Elections,* G.R. No. 207851 [2014].